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Stablecoins 101: Uncertain growth but the stakes are high

Stablecoins saw significant growth in 2025, drawing attention from issuers and regulators alike. Still, their long-term prospects remain uncertain. In the first article of our new series, we explore what stablecoins are, what could drive adoption, and why their future matters



Despite a sharp expansion, stablecoins now account for only about 7% of the broader crypto market

Executive summary

Stablecoins have seen significant growth over the past few years, reaching nearly US\$300bn in market capitalisation at the end of 2025. This rapid expansion has come with heightened attention from both regulators and potential issuers. However, the future of the crypto asset remains uncertain as further growth depends on whether it can develop beyond the crypto-landscape and expand into the broader payment world.

In our view, part of the path to becoming a broadly adopted instrument depends on the presence of a regulatory framework and interoperability with existing payment systems. However, estimating the future growth of stablecoins is difficult, as it requires predicting their relative attractiveness compared with alternative payment systems such as central bank digital currencies and tokenised deposits in a rapidly evolving

market.

While the jury is still out on how widely stablecoins could be adopted, it is important to consider a scenario in which uptake becomes significant, as this could have serious implications for financial stability, the banking sector, emerging markets, and monetary policy.

Despite the growing attention, many questions remain about what stablecoins are, how they work, and what role they could ultimately play in the financial system. In this piece, we explain the fundamentals of stablecoins, review recent market and regulatory developments, and explore the factors that could shape their future adoption. While the market is evolving quickly, their long-term prospects remain highly uncertain. Their eventual role in payments and savings will depend not only on regulation but also on whether they can compete with existing and emerging forms of digital money. In future publications, we will examine the implications of broader stablecoin adoption in more detail.

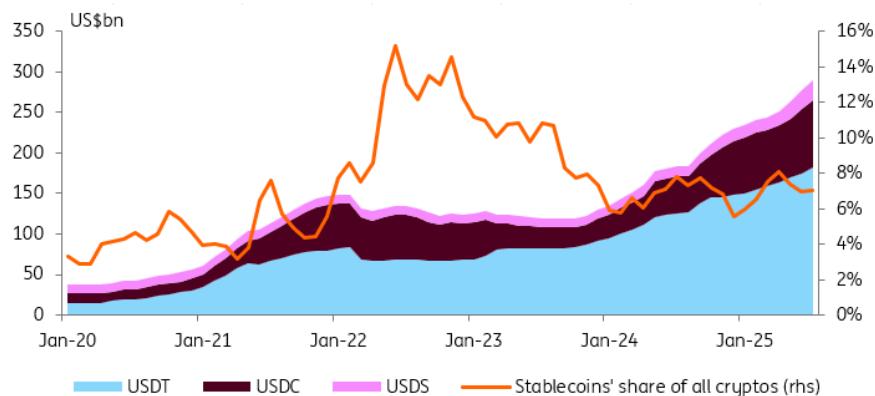
What are stablecoins?

Stablecoins are crypto assets issued by private institutions that promise a stable nominal value in a given currency, commodity or pool of assets. They are not issued or backed by a government or central authority but rather by a private institution and secured by segregated reserves. The crypto asset is issued on a Distributed Ledger Technology (DLT) (i.e. a blockchain) with three existing types of pegging mechanisms:

1. **Fiat-collateralised** stablecoins: backed 1:1 by reserves of cash or liquid assets. These are the most common and utilised type of stablecoin, currently representing over 90% of all stablecoins. We will focus on these in this piece.
2. **Crypto-collateralised** stablecoins: backed by over-collateralised crypto assets. The issuance of these stablecoins tends to be restricted by regulations such as the EU's Markets in Crypto-Assets Regulation (MiCAR).
3. **Algorithmic** stablecoins: not backed by real assets, but the peg to the chosen currency is maintained by a dynamic adjustment of the token's supply using algorithms or "smart contracts". Following the crash of the Terra project in 2022, algorithmic stablecoins now represent only a fraction of all stablecoins.

The total market capitalisation of stablecoins has surpassed US\$300bn globally, 99% of which is USD-pegged tokens. While still dwarfed by bank deposits, the rapid growth of the sector over the past five years (up by \$250bn) has drawn considerable attention. Despite the sharp expansion, though, stablecoins now account for only about 7% of the broader crypto market, a decline from their 2022 peak, as the market capitalisation of other cryptocurrencies has grown even faster.

Selected stablecoins' market capitalisation over time & share of all cryptocurrencies

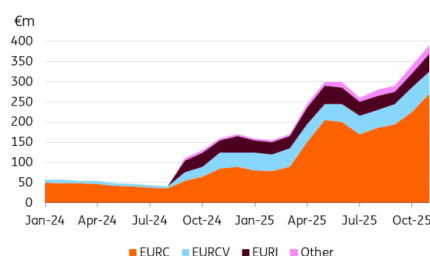


Source: ING Research, IMF / USDT = Tether, USDC = Circle, USDS = Sky Protocol

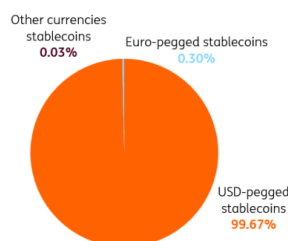
Euro-pegged stablecoins still only represent a fraction of all stablecoins in use, but their market capitalisation grew from €50m in early 2024 to nearly €400m at the end of 2025. Euro stablecoins remain in their infancy, accounting for only about 0.3% of the global stablecoin market despite recent progress.

Euro-pegged stablecoins remain at a nascent stage

Euro-pegged stablecoins' market capitalisation over time



Market capitalisation of stablecoins across currencies



Source: ING Research, ECB / EURC = Euro Circle, EURCV = Coinvertible, EURI = Eurite

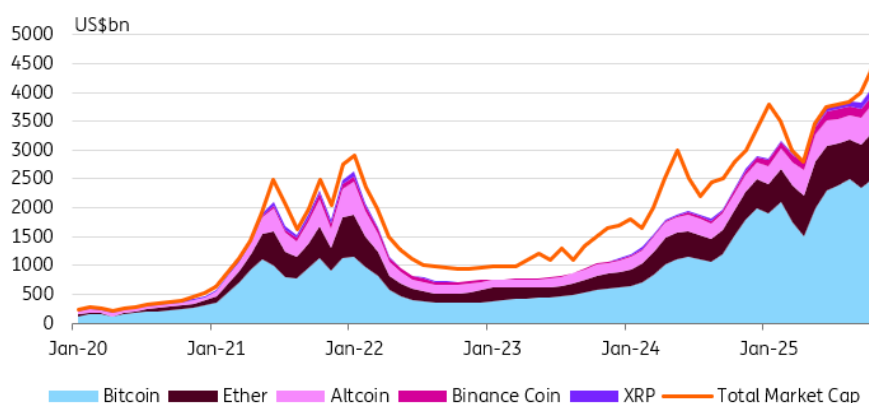
Available data shows that the use of stablecoins remains limited in the larger frame of global payments. Yet the sector's very rapid development over the past years suggests that could change. The new digital currency is forecast to grow exponentially, reaching anywhere between \$900bn and \$4.2tr by 2030. The wide variation in projections underscores just how hard it is to forecast the trajectory of stablecoins over the coming years. Indeed, **stablecoins' growth will depend on several factors: the regulation in place, interoperability with existing payment systems and, importantly, their use cases and relative attractiveness versus other payment systems (new or existing).** The next section delves into other technologies that could influence the growth (or lack thereof) of stablecoins.

How do stablecoins differ from other digital & crypto currencies?

Unbacked cryptocurrencies

Stablecoins are a form of crypto asset, but they differ from other cryptocurrencies by holding segregated reserves designed to maintain a one-to-one value with a chosen reference currency. This is not the case for “real” cryptocurrencies that are also issued and transferred using Distributed Ledger Technology (DLT) but not backed by liquid assets. These unbacked cryptocurrencies are, therefore, much more volatile and used mainly for investment and speculative purposes. Taken together, cryptocurrencies’ market capitalisation reached nearly \$4500bn at the end of 2025, about three times the level in early 2024.

Selected cryptocurrencies market capitalisation over time



Source: ING Research, IMF

Beyond stablecoins and unbacked cryptocurrencies, a new wave of digital currencies is gaining traction among both prospective issuers and regulators.

Tokenised assets

Tokenised assets are digital representations of real-world assets on a distributed ledger infrastructure. A wide range of underlying assets can be tokenised, including securities, bank deposits, and real estate.

Tokenisation is increasingly being explored for bank deposits, where the deposit itself is represented, stored, and issued on a DLT. Each token corresponds to a direct claim on a regulated commercial bank and remains on that bank’s balance sheet. Unlike stablecoins, tokenised deposits do not circulate as bearer instruments but are tied to identified account holders.

The usage of tokenised deposits currently remains limited and mostly experimental. However,

tokenised deposits can modernise payment and settlement infrastructures, as well as intragroup liquidity management. They promise faster settlement (near-instant, in fact), 24/7 transactions, programmability, and lower operational frictions (reducing reliance on multiple intermediaries). Tokenised deposits also offer regulatory advantages, as they remain fully within the existing supervisory framework; the underlying assets stay on commercial banks' balance sheets, preserving the same oversight and prudential standards applied to traditional deposits.

Central Bank Digital Currencies

Central Bank Digital Currencies (CBDCs) are digital forms of money that allow users to pay each other using a direct claim on the central bank. In other words, it aims to reinvent central bank money (cash and coins) in a digital form. CBDCs are often compared and opposed to stablecoins, but the main difference is their direct claim to the central bank. They are issued and maintained by the central authority, often but not systematically using DLTs.

CBDCs can be built for retail or wholesale use (for interbank settlements and large-value transfers). Only a few CBDCs are currently in use in the world (Bahamas, Jamaica, Nigeria and China with a large-scale pilot). But over 100 countries have projects to develop their own digital currency. This includes the EU, which is currently developing its own retail CBDC (the digital euro) and aiming for a 2029 launch. Read more on this in our piece [*The digital euro is making progress, European banks should pay attention.*](#)

In addition to the digital euro, the EU is looking at developing a wholesale DLT settlement strategy. The near-term project 'Pontes' will leverage existing T2 infrastructure and provide immediate central bank money settlement. It's expected to be launched in 3Q 2026. The European Central Bank also plans a full DLT-based wholesale CBDC ecosystem under the 'Appia' initiative, with a blueprint expected in 2028.

To summarise the four digital currencies discussed, the table below highlights the key differences across their main attributes.

Currencies comparison table

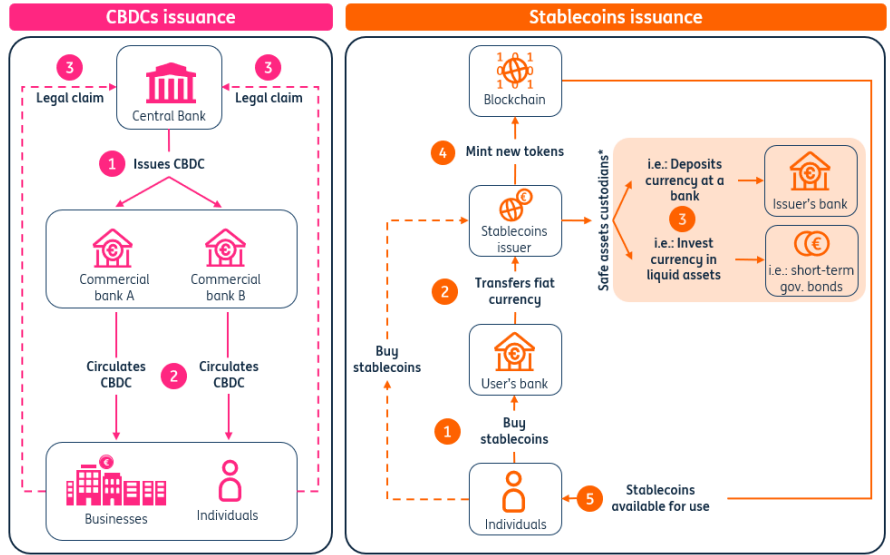
	Stablecoins	CBDCs	'Real' cryptos	Tokenised deposits	Bank deposits	Cash
Digital	✓	✓	✓	✓	✓	✗
Public	✗	✓	✗	✗	✗	✓
Blockchain use	✓	~	✓	✓	✗	✗
Programmable	✓	~	✓	✓	~	✗
Use without intermediaries	✓	~	✓	✗	✗	✓
Large price volatility	Limited by pegging mechanism	✗	✓	✗	✗	✗
Means of payment role	✓	✓	Not in the wider economy	✓	✓	✓
Unit of account role (used for invoicing)	✓	✓	Not in the wider economy	✓	✓	✓
Store of value role	Potential, especially if remuneration allowed	Not if implementation of holding limits	✗	Linked to real-world bank deposits	✓	✓
Regulation	Fragmented	National	Fragmented	✓	✓	✓

~ Possible ✗ No ✓ Yes

Source: ING Research

Both stablecoins and CBDCs aim to create a more digital and efficient means of payment, yet they are often portrayed as competing alternatives. Despite this, the two forms of digital money differ significantly. Their key differences can be illustrated through their issuance models, shown in the flowchart below.

CBDCs versus stablecoins issuance flow



Source: ING Research *examples of safe asset custodians, can vary depending on the regulation in place

The approach to stablecoins and CBDCs varies across the globe, with notable differences between the US and Europe. The transatlantic divide became increasingly apparent in the summer of 2025, when the US moved to support dollar-backed stablecoins while prohibiting the issuance of a CBDC. Europe has taken a different approach, arguing that a CBDC, the digital

euro, would enhance regulatory oversight through issuance and supervision by the European Central Bank.

Given the starkly different political approaches across jurisdictions, stablecoins are likely to evolve as primarily domestic or regional instruments, a dynamic that could shape and, potentially, constrain their overall growth potential.

For stablecoins to become systemically important, their use needs to extend beyond the crypto ecosystem into the broader, global, payments world. However, political positions are already signalling resistance to a global (dollar-pegged) stablecoin, with policymakers instead encouraging the development of multiple domestic stablecoins denominated in local currencies.

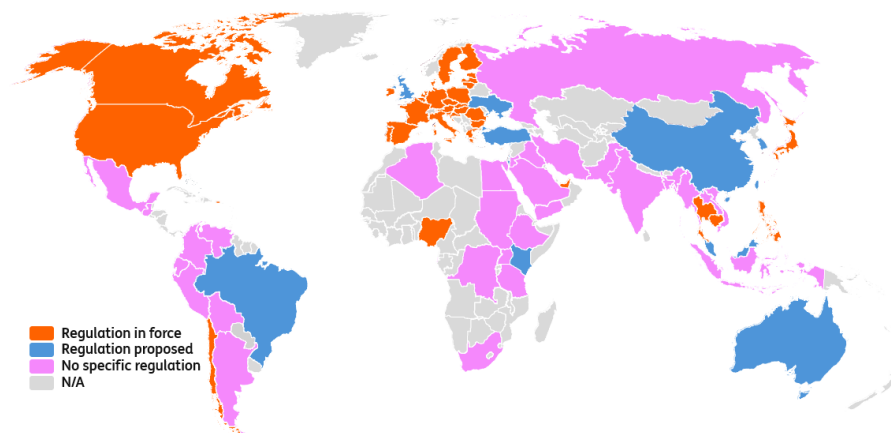
The absence of regulatory harmonisation reinforces this trend. Stablecoin issuers must adapt to each jurisdiction's rules, limiting cross-border scalability and undermining the emergence of a single dominant global stablecoin. The next section outlines the regulatory divergences across the US, EU, and UK.

Large regulatory differences and crucial remuneration uncertainty

Currently, 12 countries have stablecoin regulations in force, and another 10 have proposed texts that are not yet approved. The strongest stance against the issuance of stablecoins comes from China, where they're banned. This partly stems from the government's push for its CBDC; stablecoins are therefore viewed as direct competition.

The main laws are in place in the trading hubs, while other markets still lack specific stablecoin and crypto asset regulations. Despite recent developments at the national or regional level, there's an absence of international harmonisation and coordination on the topic.

Distribution of current stablecoin regulations worldwide



Source: ING Research, Visual capitalist

Because of the lack of international harmonisation on stablecoin oversight, existing regulatory frameworks diverge in several ways. The most important difference concerns the management of the safe assets. Indeed, issuers face various types and levels of restrictions for the segregated reserves. This could influence stablecoins' potential impact on the financial system.

Under US regulation (GENIUS Act), issuers must hold at least \$1 of permitted reserves for every \$1 of stablecoins issued. Permitted reserves include (but are not exclusively) cash, deposits held at commercial banks, short-dated treasury bills and other similar government-issued assets approved by regulators. The absence of specific limits or thresholds on each of these options gives USD-stablecoin issuers a relatively large degree of freedom to allocate their reserves.

This isn't replicated in the European legislation. MiCAR sets stricter requirements for E-Money institute issuers. These institutions (if systemic) are required to hold at least 60% of the safe assets as commercial banks' deposits (30% if non-systemic issuers). They're allowed to hold 40% of their reserves in liquid government bonds (70% if non-systemic issuers).

While the UK is still drafting its final stablecoin regulatory framework, the latest proposal includes restrictions on reserve investments. For systemic issuers, the Bank of England proposes prohibiting the use of commercial bank deposits and requiring that at least 30% of backing assets be held as non-remunerated central bank deposits. The remaining 70% could be invested in short-term government debt. The central bank argues that allowing commercial bank deposits as backing could introduce financial, operational, and contagion risks that could amplify a stress across the sector. Additionally, the UK is the first country to propose a temporary issuance guardrail for systemic issuers, limiting the amount of stablecoins issued to £40bn per issuer for an unspecified temporary period.

While myriad other divergences exist, we also note one convergence between the US, EU and UK regulatory frameworks: the ban on remuneration distribution. All three regimes prohibit stablecoin issuers from paying interest to holders. In the US, where broader crypto market legislation is still under negotiation, this restriction is heavily debated and could ultimately be revised.

Interest payments by stablecoin issuers remain prohibited in most jurisdictions. This restriction is central to the regulatory architecture, as it directly shapes stablecoins' appeal as a store of value and influences both adoption dynamics and its potential footprint in the broader financial system.

The table below summarises the main differences between the three regulatory frameworks. Read more on the various regulatory frameworks in the footnotes.

Summary of the US, EU and UK stablecoins regulatory frameworks

		US ¹ Genius Act	EU MiCAR		UK ² Regulation	
			E-money institute	Credit institution	Non-systemic issuers	Systemic issuers
1.	Access to central bank, lender of last resort	Case-by-case Fed decision	Forbidden	No restrictions		Bank of England considering backstop facility
	Central Bank deposit	Case-by-case Fed decision	Forbidden	Allowed	Allowed	Required i) ≥30% of assets; ii) upremunerated
2.	Asset investment policy					
	Commercial bank deposit	Allowed upper limit to be specified	Required ≥60% of assets (≥30% if non-systemic)	Allowed	Allowed	Forbidden
	Government bonds	Allowed ≤3m maturity	Allowed <40% of assets (<70% if non-systemic)	Allowed	Allowed	Allowed <70% of assets
3.	Stablecoins remuneration	Forbidden for issuer only	Forbidden for issuer and crypto-asset service providers (CASP)	Forbidden for issuer and CASP	Forbidden for issuer	Forbidden for issuer
4.	Issuance guardrail	None	None	None	N/A	Temporary £40bn

Source: ING Research, Fed, European Commission, BoE

1 US has three license levels: for a) bank and b) non-banks at federal level, and c) one at state level for smaller institutions. 2 Proposed UK-regime based on June 2026 proposal in Bank of England consultation

...driving the key uncertainty on stablecoins' uptake

Stablecoins' rapid growth over the past few years, in association with the lack of regulation, has raised concern for central banks across the world. Depending on future growth and use cases, stablecoins could have a significant impact on financial stability. For this to materialise, stablecoin use and adoption would have to go beyond the niche crypto-ecosystem and extend to the payment landscape.

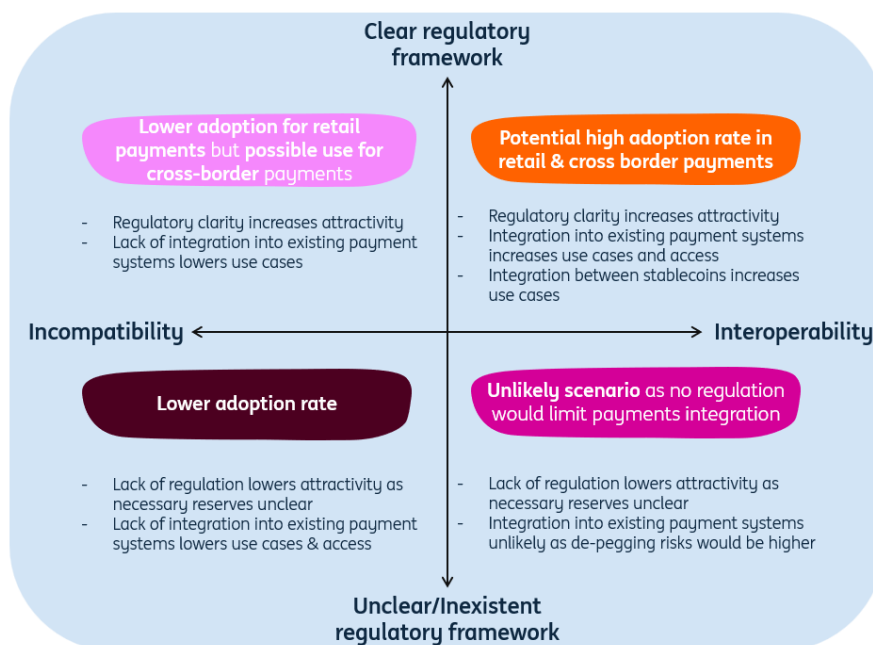
While stablecoins have grown significantly over the years, they are not currently "broadly

adopted". Currently, there's no set threshold determining what would constitute this broad adoption. Furthermore, the development of the crypto asset over the next few years remains unclear. In our view, the adoption uptake would depend on its use for two things:

- Payments
- As a store of value

Starting with the use of stablecoins in payments, there are three main variables. The first two factors are the presence of a regulatory framework and the degree of interoperability between stablecoins and existing payment systems. Mapping these variables produces a quadrant that illustrates four potential development paths for stablecoins.

Potential development of stablecoins in retail payments



Source: ING Research

A scenario with both a clear regulatory framework and full integration of stablecoins into existing payment systems would provide fertile ground for meaningful adoption in payments. However, the extent of such uptake depends on the third variable: the attractiveness of other payment systems (new and existing ones).

The existence and development of alternatives such as tokenised deposits and central bank digital currencies might limit the relative attractiveness of stablecoins. Even though payment systems in Europe remain relatively cheap and fast, that experience is far from universal internationally. For regions where payments are costly and slow, introducing new technologies such as tokenisation into existing systems could allow them to rapidly close the gap with the

advantages stablecoins offer, and potentially emerge as direct competitors to the crypto asset.

There is also a potential political push toward adopting central bank digital currencies, a dynamic relevant not only for jurisdictions with high payment costs but for the EU as well. The digital euro has become a central topic in the 'strategic payment autonomy' discussion and could directly compete with stablecoins for day-to-day payment use.

When it comes to the use of stablecoins as a store of value, a significant uptake would depend on two points:

- Whether direct remuneration by stablecoin issuers is allowed. The current ban on direct remuneration in major jurisdictions does little to support the use of stablecoins as deposit-like instruments, except in countries where real interest rates are negative. However, we can't exclude regulatory changes in coming years, especially as the topic is currently under discussion in the US with the upcoming Clarity Act. Read more on this in our regulatory footnotes below.
- The interest rate level paid on alternative deposit accounts (such as traditional bank deposits), as stablecoins could become more of a competitor to traditional deposit accounts in an environment where interest rates are zero or close to zero (which has been the case in the EU in recent years and is still the case in the US).

Only if, and with the right combination of these factors, could we foresee the adoption of stablecoins growing significantly to become broadly adopted. Yet, at present, it remains difficult to estimate the direction the crypto asset will follow in the years ahead.

Potential implications of stablecoins

Although stablecoins are not yet widely adopted and their future trajectory remains hard to pin down, our forthcoming articles will explore a scenario in which they scale enough to become a meaningful payment system. We see this as a necessary exercise: broad stablecoin adoption could carry significant and far-reaching implications for the financial system – spanning the banking sector, emerging market stability, safe asset demand, monetary policy transmission, and even geopolitical and cyber-risk dynamics.

Indeed, research has found that upon broad adoption, stablecoins could drive significant changes in banks' funding. Depending on the required reserves, this could translate into either a net drop in retail deposits or a switch from retail into wholesale deposits (as MiCAR requires stablecoin issuers to hold part of the reserves in EU commercial banks). Overall, it could make banks' funding structure more volatile as wholesale deposits are known to be less steady funding sources than retail ones (which are rarely moved across institutions). Also, wholesale deposits are costlier to hold for banks as the regulation imposes higher capital requirements, reflecting their higher volatility and general risk level.

Stablecoins could also have implications in emerging markets through currency substitution. It could amplify depreciation pressures under stress episodes by lowering friction around moving local currency into USD stablecoins. Countries with weak monetary credibility (i.e. high inflation, low interest rates) make stablecoins an attractive store of value and payment means, even outside stress episodes. The outflow to stablecoins could further undermine monetary policy transmission.

USD stablecoins also have the potential to boost demand for short-term US treasuries as issuers look for safe asset reserves. In principle, quick changes in transaction-driven demand could then amplify volatility in rates under a stress scenario. The proliferation of stablecoins (regardless of the currency) may also shift the composition of the overall monetary base with an asset reallocation from bank deposits into treasury/government bonds. This means potentially weaker monetary policy transmission through both the credit and interest rate channels.

While all these points remain theoretical implications of stablecoins, regulators are increasingly concerned and estimates on those impacts are developing. In future reports, we aim to contribute to the growing body of literature on this subject by diving deeper into each of these potential implications, seriously considering a scenario where stablecoins become a broadly adopted payment system.

Stablecoins are growing but the jury is still out on how big they'll get

Over the last few years, the market capitalisation of stablecoins has grown significantly, attracting the attention of both potential issuers and regulators across the globe. However, when it comes to the development of the crypto asset, it remains difficult to estimate an exact path. In our view, the growth of stablecoins in the coming years could be limited or strong depending on their uptake in both payments and as a store of value. Part of this growth to become a “broadly adopted” instrument depends on the existence of a regulatory framework and the interoperability with existing payment systems. The difficulty in estimating stablecoin growth comes from predicting the relative attractiveness versus alternative payment systems (new or old) as the sector quickly evolves.

It's important to consider a scenario where the use of stablecoins increases significantly, as this could have serious implications for financial stability, the banking sector, and emerging markets, as well as monetary policy. Therefore, in our upcoming series of articles, we will dive into potential impacts in more depth, starting with the implications of “broadly adopted” stablecoins for financial institutions.

Regulatory footnotes

The United States' GENIUS Act

Adopted in July 2025, the Guiding and Establishing National Innovation for US Stablecoins Act (GENIUS Act) establishes a regime to regulate US payment stablecoins. Despite the enforcement starting in January 2027, the mere adoption of the GENIUS Act had an immediate effect on USD-denominated stablecoins, with net stablecoin creation growing from about \$10bn in 2Q25 (before the regulation) to over \$45bn in 3Q25, a 324% increase in just a couple of months.

The regulation permits stablecoins to be issued by banks, credit unions and certain non-bank entities (although non-bank issuers are limited to financial firms unless the Stablecoin Certification Review Committee (SCRC) unanimously determines that they do not pose a risk to the banking or financial system).

Issuers face tailored capital, liquidity, and risk management rules but are not subject to the regulatory capital standards for “traditional” banks. Banks issuing stablecoins are regulated by the Federal Reserve, while non-banks fall under the Office of the Comptroller of the Currency (OCC) oversight.

Aside from permitted issuers, the GENIUS Act also clarifies stablecoin requirements. **Issuers must hold at least \$1 of permitted reserves for every \$1 of stablecoins issued.**

Permitted reserves include (but are not limited to) USD cash, deposits held at commercial banks, short-dated treasury bills and other similar government-issued assets approved by regulators.

Additionally, issuers of the digital currency must comply with several transparency and reporting requirements, including regular reporting on the reserve composition, and must run audits by public accounting firms. They are required to disclose the redemption procedures and comply with the US Bank Secrecy Act as well as tailored Anti-Money Laundering and Counter-Terrorism Financing (AML/CTF) rules.

The GENIUS Act also currently prohibits issuers from paying interest to stablecoin holders. However, the topic is open to discussion in the US as the proposed CLARITY Act (which aims to clarify the broader crypto asset regulatory landscape) could include the possibility for stablecoin issuers to distribute customer rewards.

The EU's Markets in Crypto-Assets Regulation (MiCAR)

MiCAR was adopted in 2023 and covers a wide range of crypto assets. The stablecoin rules gradually came into force through the end of 2024. They apply to both issuers and entities offering trading, custody, exchange and advisory on crypto assets. **MiCAR classifies crypto assets in three categories:**

- **Asset-Referenced Tokens (ARTs)**: stablecoins backed by a basket of assets such as fiat currencies or commodities
- **E-Money Tokens (EMTs)**: stablecoins pegged to a single fiat currency
- **Other crypto assets**: including decentralised cryptocurrencies and other tokens (not falling into the first two categories)

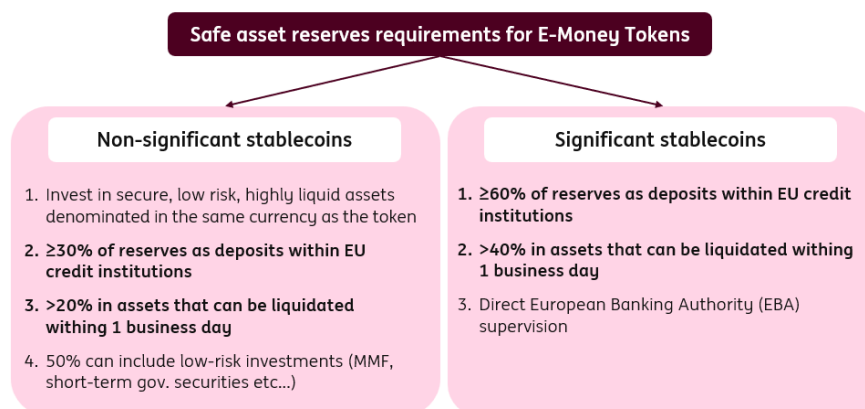
The regulation clarifies which entities are allowed to issue crypto assets in the Union, namely credit institutions and Authorised Electronic Money Institutions (EMIs). In addition, the EU differentiates cryptocurrencies by their size, including specific requirements for the largest assets.

Stablecoins are considered significant when (but not only):

- The **number of holders** is larger than **10m**
- The **value of the token** issued (market capitalisation or size of the reserve of assets) is higher than **€5bn**
- The **average number and transaction value per day** are higher than **2.5m and €0.5bn**, respectively

Under MiCAR, stablecoin issuers are required to have a legal entity established in the EU. The regulation sets out a list of requirements for stablecoins issued in the EU, starting with the prohibition on the distribution of interest on the tokens. It also establishes requirements for stablecoin reserves. For E-Money Tokens (EMTs) specifically, regulatory requirements differ depending on whether the issuer is classified as significant or not. The graph below summarises the safe assets requirements depending on the size of the stablecoin issuer.

MiCAR safe asset requirements per stablecoin issuer type



Source: ING Research, MiCA Regulation

Additionally, all issuers of stablecoins in the EU are subject to transparency and reporting requirements, including the publication of whitepapers on the token's functionality, risk and technology. Issuers must run quarterly stress testing and comply with the Union's AML/CTF

rules.

The UK's upcoming regulation

In June 2026, the Bank of England published a policy statement and draft rules for systemic stablecoin issuers. The BoE's approach to stablecoin regulation varies from existing frameworks as it plans to ban systemic issuers from holding part of their reserves with commercial banks.

The central bank argues that this decision is warranted by the financial, operational, and contagion risks that could arise between stablecoins and the broader financial system during periods of stress. This stance contrasts with the EU stablecoin regulation that requires issuers to hold part of their reserves as commercial bank deposits.

Issuers would therefore be required to hold at least 30% of the reserves in unremunerated BoE deposits and the remaining 70% in short-term UK government debt securities with a residual maturity of up to six months.

The draft rule sets aside the individual holding limit requirement announced previously and instead proposes a temporary issuance guardrail to mitigate risks to credit provision. Each systemic stablecoin issuer will be subject to an initial maximum issuance of £40bn. This limit would be reviewed, loosened and ultimately removed; the BoE doesn't include a timeline for such phasing out. If enforced as such, the UK would be the first country to officially regulate the amount of stablecoins issued, even on a temporary basis.

The proposal plans to require systemic stablecoin issuers to conduct an overall risk assessment to identify, monitor and mitigate risks. Additionally, it sets minimum capital requirements composed of six months of the issuer's relevant operating expenses or the cost of executing its recovery plan. It also requires notifying the central bank when its capital falls below 110% of the minimum requirements.

The Bank of England plans to install a statutory trust mechanism comprising two trusts: one to protect coinholders' interests and the other to cover the costs of returning value to them. Stablecoin issuers will thus be required to segregate the assets used for reserves and appoint third-party custodians to hold these. The proposal also includes a prohibition on the payment of interest and income to coinholders.

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GERMANY

Low water levels are new setback for the German economy

Record low water levels in the Rhine could shave 0.3 percentage points off Germany's GDP growth this year



A heatwave in Germany has pushed Rhine water levels to record lows

Some might know that I used to be, and still am, a passionate rower. Rowing on Frankfurt's Main River is not always a pleasure. High water levels and strong currents in winter, combined with commercial river traffic throughout the year, do not make it an ideal place to train. That is, except when water levels are low.

For rowers, low water levels mean calm currents, flat water and very little traffic. Against this backdrop, I have witnessed the effects of climate change during the 12 years I have lived in Frankfurt: fewer periods of high water in winter and longer stretches of flat water in summer. Unfortunately, what has been good for my favourite hobby has become a clear risk for the German economy: low water levels.

Why the Rhine matters for German industry

Yesterday, my colleague Rico Luman [wrote about the impact of low water levels](#) in the Rhine and the consequences for supply chains. For Germany, however, the Rhine is not simply one transport option among many. It is a piece of industrial infrastructure around which much of German industry was physically built.

Roughly 285 million tonnes of freight move along the river annually, making it Europe's most

important logistics corridor after the open seas. It carries about 80% of all goods transported on Germany's inland waterways, while some 600 vessels cross the Dutch-German border every day. The corridor connects Rotterdam directly to three of Germany's largest industrial clusters: Rhine-Ruhr steel, Rhine-Main and the Ludwigshafen chemical complex.

This is no coincidence. The plants were built along the Rhine in the nineteenth century to benefit from barge transport and access to process water, and they have remained there ever since. When the Rhine runs low, the impact extends far beyond supply chains; it strikes at the heart of German industry.

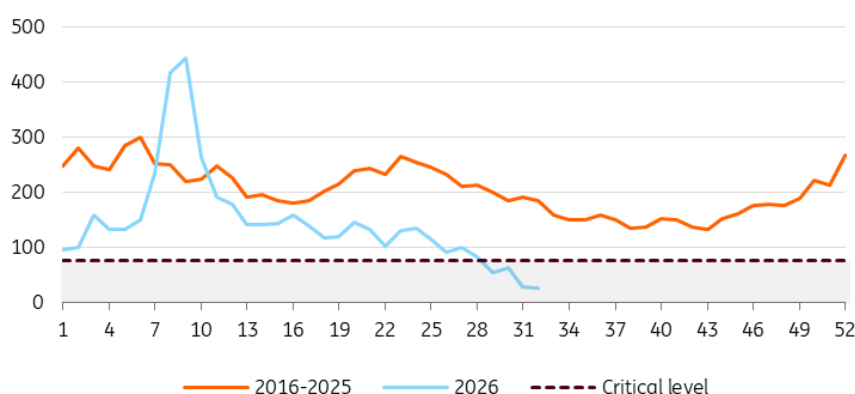
The Rhine's historic importance also means there are no real alternatives. Replacing a single barge can require up to 100 trucks or an entire freight train. And that's before taking into account Germany's well-known infrastructure challenges. Rail and road simply cannot provide a like-for-like substitute for Rhine transport. This is not to say that industry has not reacted to more frequent and longer periods of low water levels. Think of shallow-water barges and higher inventory levels.

Economic impact of low water levels

On Monday, the water level at Kaub fell to 24cm, the lowest level since records began in 1880. The last record low was 25cm in October 2018. This highlights how severe the current situation is. Normally, periods of low water occur between September and November, not in the middle of summer. Yet current forecasts for the next two weeks show little rainfall, suggesting that conditions are likely to worsen.

Water level in Kaub

(average per calendar week in cm)



Source: pegelonline.wsv.de

As the Rhine is home to crucial industries, the economic impact of supply chain constraints, and a potential reduction in production is much larger than the Rhine's c.6% share of total

German freight volume would suggest.

A 2020 Kiel Working Paper found that low water levels in the Rhine, particularly during the 2018 drought, affected the German economy through both transport and production channels. A full month of low water reduced inland shipping volumes by about a quarter, while industrial production fell by roughly 1%. Overall, the 2018 episode is estimated to have shaved around 0.3 percentage points off German GDP growth.

The risk is high that this time around, the economic impact will be larger. The low water levels at the start of August are unprecedented and fully out-of-sample when taking the Kiel paper as a proxy. Obviously, the economic impact now highly depends on the length of the current drought. A week of heavy rain could change the economic picture for the better immediately – even if this currently appears unlikely to happen. Unless the German government finds a reliable rainmaker, we should prepare to see a repetition of 2018 with a negative impact of at least 0.3 percentage points of GDP growth. This comes as a big setback given that the German economy has grown for three quarters in a row and was on track to reach annual GDP growth of some 0.8% this year. A blow to the recovery but not enough to ignite recession fears.

In any case, the negative economic impact will probably make my next outing less enjoyable. Or perhaps not. I may simply find myself humming R.E.M.'s *It's the End of the World as We Know It (And I Feel Fine)*.

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Article | 4 August 2026

TMT

Webinar: The AI race – who will fund and fuel the next wave?

AI is becoming one of the biggest investment, infrastructure and energy stories of our time. Join us to explore how the AI boom is being financed, what investors are watching, and whether power systems can keep pace with soaring demand. [Sign up here](#)



AI is no longer just a technology story. As investment and power needs surge, it has become a capital markets, infrastructure and energy story, too. The race to build AI capabilities is driving unprecedented spending on data centres, compute capacity and power infrastructure. This raises important questions for investors, policymakers and industry leaders.

In this webinar, we will explore how AI expansion is being financed, how investors are assessing the opportunity, and how energy systems can keep pace with growing demand.

You'll learn:

- Why accelerating data centre investment can remain sustainable
- What investors are watching across the largest technology companies
- How AI is reshaping capital markets and financing needs
- How data centres are transforming energy systems and local economies
- How power infrastructure can keep pace — and at what cost

[Click here to sign up](#)

Details

Date: Thursday 13 August

Time: 1400 BST/1500 CEST/0900 ET

The webinar will last 30 minutes, including Q&A.

The event will take place online and the waiting room will open 60 minutes ahead of the scheduled start time.

A joining link will be emailed following registration, and you will receive a reminder email 10 minutes before the scheduled start time.

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Article | 7 August 2026

ASIA WEEK AHEAD AUSTRALIA CHINA

Asia week ahead: Australia rate decision, data on China, India, Japan

Australia's rate decision is the highlight of the week. Key data releases include China's inflation and credit, India's July CPI, and Japan's June current account balance and July PPI



Asia Research highlights of the week

[Taiwan's double-digit GDP growth extends into the second quarter](#)

[Taiwan's sticky inflation strengthens the case for a September hike](#)

[Asia FX Talking: Washington steps in to stop the Asian slide](#)

Australia : RBA expected to keep rates unchanged

We expect the Reserve Bank of Australia to hold the cash rate at 4.35% at Tuesday's monetary policy meeting. Inflation surprised decisively to the downside in the second quarter. Headline CPI eased to 3.9% year-on-year, well below the RBA's 4.8% forecast, driven by softer housing

and transport costs. While services increased to 4.0% YoY, the RBA's preferred trimmed mean CPI series fell below its estimate of 3.8% YoY. It stands at 3.6% YoY, suggesting underlying prices continue to moderate gradually. Collectively, price pressures are easing faster than the RBA envisaged, strengthening the case for an extended hold through year-end.

China: CPI and PPI seen moderating

China releases its inflation data over the weekend. We expect CPI inflation to edge down slightly to 0.9% YoY in July, and PPI inflation to cool to 3.8%. Purchasing managers' index data showed ex-factory prices cooling. China's credit data should be released sometime during the week. We expect weak credit demand to continue amid limited corporate investment appetite and soft consumer borrowing.

India: Headline inflation expected to remain steady

India releases its July CPI inflation data on Wednesday. The market expects inflation to remain unchanged at 4.4% YoY. Food inflation should soften from June's elevated 5.1%, supported by ample cereal stocks. Fuel inflation, however, is set to edge higher as recent petrol, diesel and compressed natural gas (CNG) price hikes continue to pass through. Services inflation is expected to remain sticky, reflecting persistent underlying cost pressures.

Japan: PPI and current account

Japan's key data releases include the June current account balance on Monday, and July PPI on Thursday. The consensus expects producer prices to rise to 7.5% YoY from 7.1% in June. This reflects continued upstream price pressure from higher energy prices, yen weakness and import costs.

Key events in Asia next week

Country	Time (GMT+8)	Data/event	ING	Prev.
Sunday 9 August				
China	0930	Jul CPI Inflation (YoY%)	0,9	1
	0930	Jul PPI (YoY%)	3,8	4,1
Monday 10 August				
Japan	0750	Jun Current Account (JPY bn)	CF:1577	3968
Indonesia	1100	Jul Consumer Confidence	-	117,8
Tuesday 11 August				
Australia	1230	Rate Decision (%)	4,35	4,35
Malaysia	1200	Jun Industrial Output (YoY%)	-	8,4
Indonesia	1100	Jun Retail Sales (YoY%)	-	-3,9
Wednesday 12 August				
South Korea	0700	Jul Unemployment Rate (%)	-	2,7
India	1830	Jul CPI Inflation (YoY%)	CF: 4,4	4,4
Thursday 13 August				
Japan	0750	Jul PPI (YoY%)	CF:7,5	7,1
China	1700	Jul Money Supply (YoY%)	-	8
Friday 14 August				
India	1430	Jul WPI Inflation (YoY%)	-	9,9
	1230	FX Reserves (USD bn)	-	682,4
Malaysia	1200	Q2 Current Account (MYR bn)	-	15,2
	1200	Q2 GDP Final (YoY%)	-	5,4

Note : CF = Market consensus forecast data

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Article | 7 August 2026

COMMODITIES DAILY

The Commodities Feed: Oil rallies as chances of US-Iran deal fade

Oil prices are seeing renewed strength amid additional signs that a US-Iran deal remains difficult to achieve



Energy - US-Iran deal obstacles

Oil prices rallied yesterday, with ICE Brent settling 3.8% higher on the day, taking it back above \$82/bbl. This strength continued in early morning trading today. Developments over the last 24 hours or so demonstrate once again that negotiations between the US and Iran are unlikely to proceed smoothly.

There are suggestions that Iran wants to ban US and Israeli ships from the Strait of Hormuz, while also seeking compensation from hostile countries before they can use the strait again. In addition, Iran still wants to charge fees for ships transiting the Strait of Hormuz, in the form of service fees rather than a toll. There doesn't seem to be much of a compromise, which ultimately makes it more difficult to reach a sustainable deal.

Despite clear signs of progress in recent days, the tenor of the rhetoric and growing distrust between the US and Iran mean things could go from bad to worse once again. For now, we hold onto our view that flows will start to normalise through the third quarter, which leaves us expecting Brent to average \$80/bbl this quarter. However, there's plenty of risk and

uncertainty to this view.

Saudi Arabia cut its official selling prices for almost all crude grades and to all destinations for September loadings. Arab Light into Asia was cut by S\$0.50/bbl to a \$2/bbl discount to the benchmark. There has been a push by Asian buyers for the Saudis to cut their official selling prices (OSPs) amid the escalation in the Red Sea. It means that some tankers are taking the longer and more expensive shipping route around Africa.

Metals – Copper nears record high

Copper traded near record highs, with LME prices trading comfortably above \$14,000/t, amid tariff-related stockpiling into the US and increasingly tight physical conditions outside the country. The latest move higher was also fuelled by reports that the DRC had moved to restrict exports of copper concentrates. While the headlines initially raised supply concerns, the impact on the refined market is likely to be limited given that most of the DRC's copper is exported as cathode rather than concentrate. Even so, the news reinforced an already bullish market backdrop characterised by low inventories, tight concentrate availability and ongoing supply disruptions.

Copper fundamentals remain supportive. Tight physical markets, low inventories and constrained mine supply should continue to underpin prices. With copper trading close to record highs, any disappointment on US tariff measures could trigger a period of consolidation.

In other base metals, nickel fell towards its lowest level since mid-July after reports that Indonesia may grant additional ore production quotas to a major producer. The prospect of higher Indonesian output renewed concerns over oversupply. This reinforced expectations that the nickel market will remain comfortably supplied through the second half of the year.

We remain cautious on nickel. Continued Indonesian supply growth is likely to keep the market in surplus and limit any upside potential.

Agriculture – UNICA report lower sugarcane crush

The latest fortnightly report from the Brazilian Sugarcane and Bioenergy Industry Association (UNICA) shows that sugar cane crushing in Central-South Brazil stood at 69.8mt in June. This is down 14.5% from a year ago. Sugar production fell 26.3% year-on-year to 3.9mt, as mills diverted more cane towards ethanol production. Sugar prices spent much of the year trading below ethanol parity, pushing producers to increase their ethanol mix. Around 44.5% of cane was allocated to sugar production, lower than 52.3% in the same period last year. Cumulative sugar production so far this season stands at 10.8mt, down 12.4% YoY, while the cumulative cane crush has risen 3.8% YoY to 214.5mt.

Data from Cameroon's National Cocoa and Coffee Board shows that cocoa output fell 20% YoY to 247.9kt in the 2025/26 season. It's the lowest level in five years, and reverses the record

harvest produced a year ago. The decline was primarily driven by adverse weather conditions, ageing plantations, and deteriorating soil fertility. Meanwhile, cocoa exports fell 34.7% YoY to 125.5kt, while domestic grindings declined 13.1% YoY to 95.9kt.

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Article | 6 August 2026

CZECH REPUBLIC

CNB Review: Stable rates amid an overly optimistic growth outlook

The policy rate was kept unchanged by unanimous vote, which we believe is the right response given the considerable uncertainty, particularly around economic activity. The CNB's growth forecast appears too optimistic. The governor reads the rates outlook as broadly stable while inflation risks remain. Yet the overall tone was surprisingly dovish

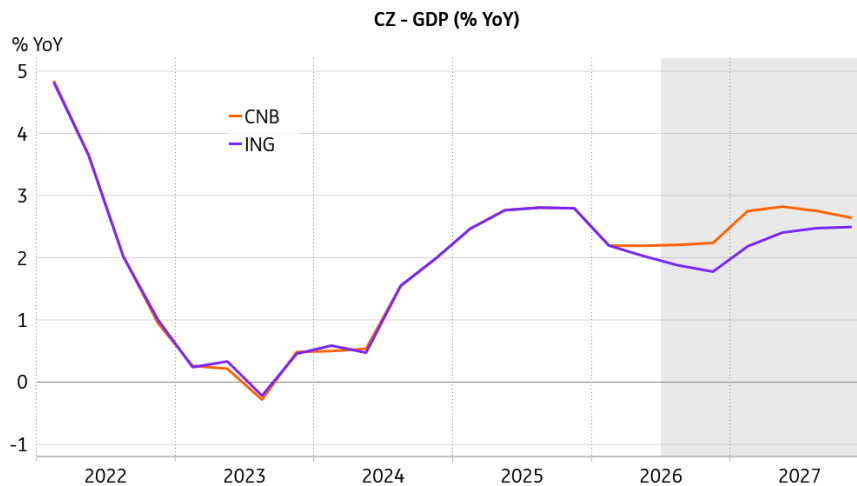


The Czech National Bank kept rates on hold at its August meeting

Time to do nothing and evaluate, with a dovish tilt

The Czech National Bank has unanimously decided to leave the policy rate unchanged at 3.75% at its August meeting. We see that as the right thing to do, as the Czech economy faces the aftermath of the protracted conflict in the Middle East as well as more intense fighting in Ukraine, along with some new emerging risks. Governor Ales Michl made clear at the presser that the overall risks are still assessed as pro-inflationary, especially when looking at core inflation and stubborn price growth in the service sector. The labour market is still assessed as tight by the Bank Board with wage dynamics deemed as a potential source of trouble for price stability.

CNB growth outlook seems overly optimistic



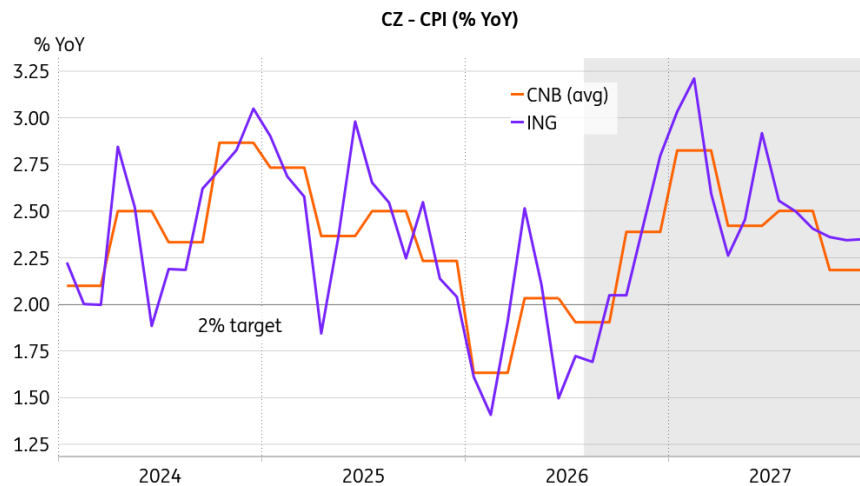
Source: CNB, ING, Macrobond

Otherwise, the press conference made a surprisingly dovish impression, in contrast to our expectations that the unanimous no-change decision would be served with a hawkish side dish. The governor mentioned so many risks related to potentially weaker economic performance that one could almost get the impression that an excuse for the preceding tightening cycle would follow. Perhaps this was intended to offset the very optimistic GDP growth outlook, especially given mounting uncertainties and the rather disappointing second-quarter GDP reading. Indeed, the CNB staff forecast, which did not yet incorporate the latest GDP data, projects growth of 2.2% this year and 2.7% next year, both well above our forecasts. We do not consider such outcomes impossible, but we see our own forecast as being closer to the upper end of the plausible range.

Inflation behaves; rates seen as broadly stable

The CNB inflation forecast is basically in line with ING's; only 0.1ppt softer on average over the next year. Interest rates as represented by 3M PRIBOR are broadly flat, excluding a marginal upward shift in 4Q26 that is reversed in 2Q27. The CNB model likely reacts to increasing inflation at the turn of the year, although this is largely driven by base effects. In any case, the governor interpreted the rate path as broadly stable. And here is my question: what happens to the CNB's inflation projection if the economic expansion, and possibly consumer spending, turn out to be softer than the CNB expects, say even below our own projections?

Inflation well-behaved except for 1Q27 base effect



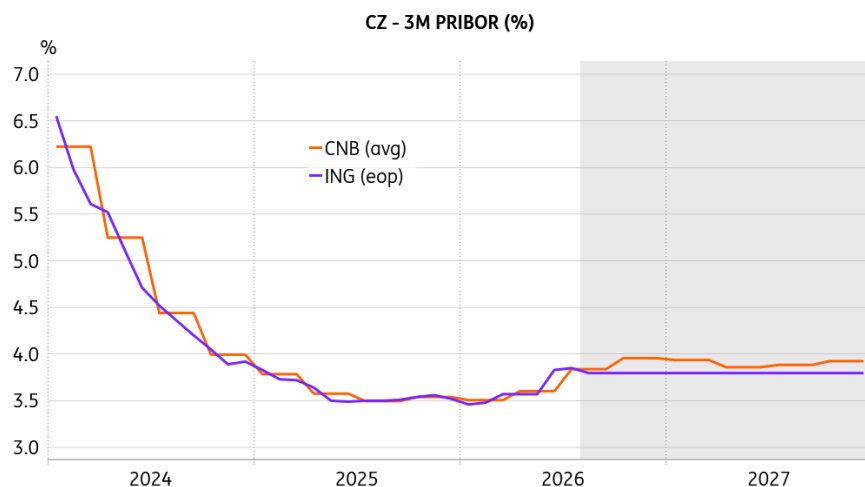
Source: CNB, ING, Macrobond

You guessed it: the inflation path would soften, and the interest rate path along with it. So, it may be the case that if the downside risks to growth mentioned above were to materialise, the words of Jan Frait and Jan Procházka regarding a possible reversal of the June hike – should monetary policy prove too restrictive – could come back into play. We do not see this as the most likely outcome at this stage, but we want readers to be aware that this sequence of events cannot be ruled out. Consider the evergreen feature of the CNB's medium-term forecast: a weakening koruna against the euro, an assumption that has proven systematically biased. Add that to the mix, and imported inflation could turn out even softer than implicitly assumed.

Sometimes, doing nothing is the right thing

Summa summarum, there are relevant reasons for the governor's dovish tone at the presser, especially against the backdrop of the CNB's own forecast. This grants the overall impression of – how to put it – more balance. For sure, the future is always uncertain (as is the past), but this was precisely why Karina Kubelkova did the right thing at the June meeting and voted for an unchanged base rate. She set aside political and personal considerations, which allowed her to remain consistent during the August vote. It is only fitting that she will join tomorrow's meeting with analysts. And yes, like her, we believe that stable rates are the right answer to uncertain times.

The CNB and ING see broad rates stability



Source: CNB, ING, Macrobond

Our market view

Today's CNB meeting delivered a dovish surprise for markets, with the new forecast pointing to unchanged rates and Governor Michl reinforcing that message. Although we had expected a dovish tone, the magnitude of the surprise recalled the earlier end of the debate on possible rate hikes. After the meeting, markets priced out roughly half a hike, leaving expectations at around 1.5 hikes. This remains well above our unchanged-rate forecast and still makes Czech rates the second-most hawkish market in EMEA after South Africa. Given the dovish press conference, we expect markets to continue reducing tightening expectations. The global backdrop remains important, but we see pricing stabilising around one hike as protection against higher oil prices. In our view, the curve still has room to move lower, with a bias towards steepening.

EUR/CZK rose 0.2% to 24.235, but the moves in rates and the interest rate differential point to levels closer to the 24.250–24.300 range, which we see as the likely landing zone. Tomorrow's CNB meeting with analysts should generate more headlines. If the dovish tone is confirmed, the koruna is likely to face further weakening pressure.

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Article | 6 August 2026

HUNGARY

Hungarian economy takes a summer breather

Economic activity data for June confirmed what we saw in the second quarter GDP data: as summer arrived, the Hungarian economy went on holiday. Both industry and retail sector growth rates came in lower than expected, but we are still optimistic about the future



Shoppers in Budapest

The Hungarian Central Statistical Office has released data for June on retail sales and industrial production. We have already got the second quarter GDP data, so the negative shift came only as a moderate surprise. Monthly volatility in industry persisted, with June revealing its weaker side. Retail sales slowed at the start of the summer, but elevated consumer confidence and rising real disposable incomes are expected to restore momentum in the coming months. Against this backdrop, we may see a positive overall contribution from both sectors in 2026.

Industry disappointed (again), but there is still room for growth

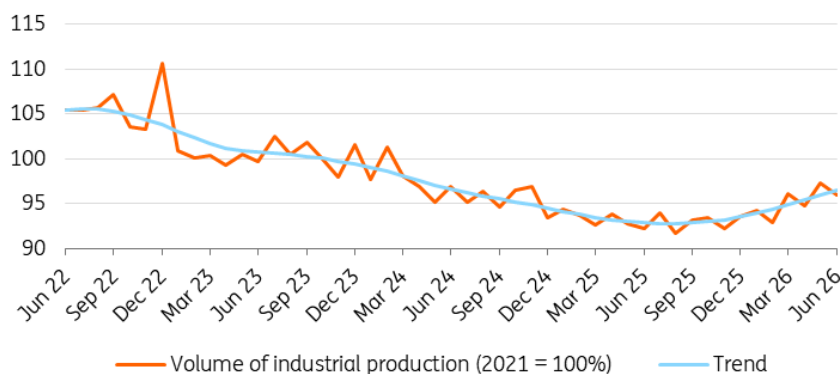
4.1%

Industrial production (YoY, wda)

ING estimate: 6.5% / Previous: 5.4%

Following the somewhat disappointing second-quarter GDP data, it was clear that the monthly statistics for June would not be strong. It seems that Hungarian industry cannot escape its usual pattern of one good month followed by one bad month. We had hoped this trend might be broken this time, but that did not happen. In June, production fell by 1.4% month-on-month, which was a negative surprise even given the wide range of forecasts. The year-on-year index, adjusted for working days, was also significantly lower than the previous month's figure. However, the growth rate of 4.1% is not bad in itself. This is not least because the negative correction in June was smaller than the surge in the previous month. Based on all this, it can still be said that a positive trend has been in place since the end of 2025.

Volume of industrial production



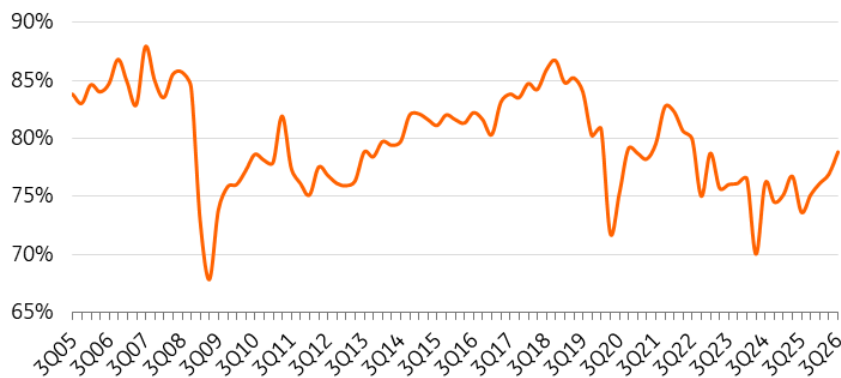
Source: HCSO, ING

Thanks to this positive trend, the sector's production volume in June was just 4% below the 2021 average. This is in line with the average performance of 2024, suggesting that a degree of optimism may be justified.

As this is preliminary data, the HCSO has not yet released many details. Yet even based on the brief commentary, a generally positive picture emerges, particularly with regard to the year-on-year indices. Production volume increased in the majority of manufacturing subsectors. The HCSO specifically highlighted the three most significant sectors by name. It is perhaps no longer surprising that production expanded in the electronic and optical products and manufacture of transport equipment. This reflects the surge in production linked to the AI boom and the increase in vehicle manufacturing capacity. Battery production also appears to

have passed its low point, having shown growth too.

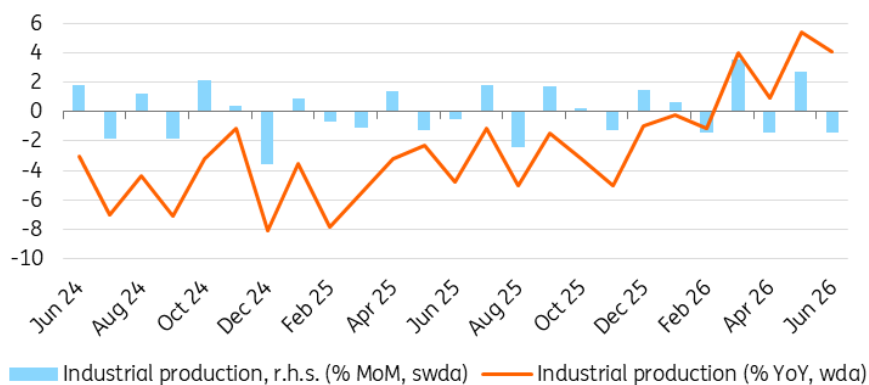
Current level of capacity utilisation (%)



Source: European Commission, ING

Soft indicators also point to the continuation of this sustained positive trend. For the first time in three months, a slight majority of manufacturing companies intend to hire new staff in the coming months. Furthermore, there are signs of improvement regarding the expected development of order books. Expected capacity utilisation for the third quarter has also risen significantly, approaching a rate of 79%. Given these developments, it is perhaps not surprising that the aggregate industrial confidence index value for July stands at a peak not seen since summer 2022.

Performance of Hungarian industry



Source: HCSO, ING

Looking ahead, we expect industrial activity to be significantly affected by production cuts stemming from the energy crisis caused by low Danube water levels, which are reducing the electricity generation capacity of the Paks Nuclear Power Plant. Accordingly, we expect to see negative figures as early as late July, but even more so in the August data. However, if a

complete shutdown at Paks can be avoided, there is a chance that recovery could begin as early as autumn. As there is still scope for manufacturers to increase capacity utilisation, it may be possible to make up for lost production in the remainder of the year once the energy crisis ends. For this reason, despite the current crisis, we believe that the fixed-base index could reach, and even exceed, the monthly average for 2021 by the end of this year. Therefore, the full-year performance for Hungary's industry could average growth of around 3–4% in 2026. In other words, after three years of industrial recession, the manufacturing sector could once again contribute positively to the overall performance of the economy, despite the Paks crisis.

Retail sales lost some momentum, but this is expected to be only temporary

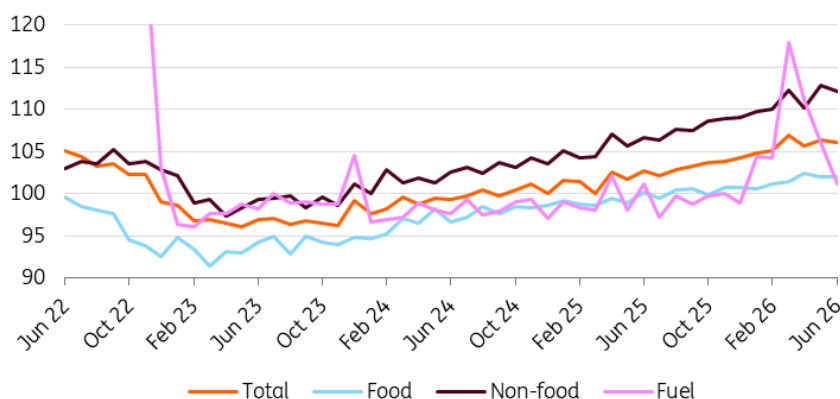
3.0%

Volume of retail sales (YoY, wda)

ING estimate: 5.3% / Previous: 4.8%

Retail sales volume in June was 0.4% lower than in the previous month, resulting in just a 3.0% increase in the year-on-year index, adjusted for calendar effects. Looking at the longer-term trend, it can be said that in the sixth month of 2026, retail sales volume exceeded the monthly average for 2021 by 6.1%. This corresponds to the average of the past five months, suggesting that the steady growth trajectory that has persisted for years appears to be stalling and plateauing.

Retail sales volume in detail (2021 = 100%)

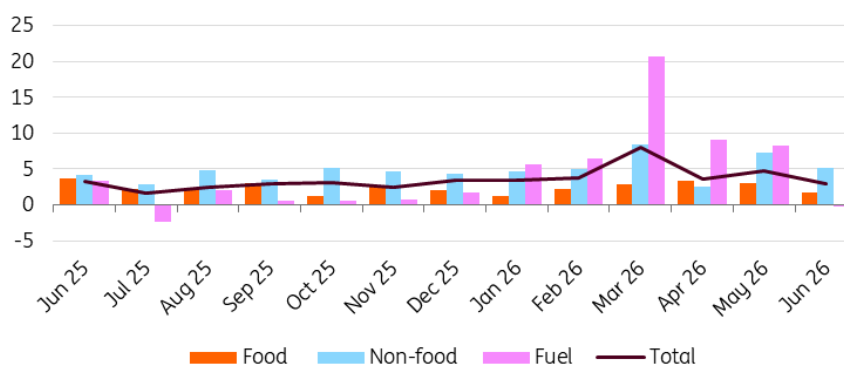


Source: HCSO, ING

Looking at the details of the monthly decline in sales, grocery store sales remained stable. In contrast, a significant decline was observed at non-grocery stores. There are large variations within this segment. Following the sharp surge in the previous month, sales at mail-order and internet sales declined, supporting our earlier hypothesis that efforts to avoid new EU tariffs may have triggered the significant surge prior to their implementation and now we are seeing a correction. Sales at stores selling textiles, clothing and footwear also fell significantly. Surprisingly, sales at furniture and hardware stores barely increased, despite major promotions timed for the FIFA World Cup, which would typically boost sales. However, sales at book and newspaper stores increased following the negative surprise in May.

Overall, significant volatility continues to characterise individual retail sectors. Fuel sales plunged by 4.7% compared to the previous month, marking a fairly sharp correction for the third consecutive month.

Breakdown of retail sales (% YoY, wda)



Source: HCSO, ING

Looking ahead, the foundations for sustained growth in retail sales and, by extension, consumer spending remain firmly in place, supported by soaring consumer confidence, persistently low inflation and strong wage growth. However, this contrasts with the slowdown in growth seen in recent months. It is still too early to determine whether this was simply due to various one-off factors or whether a genuine shift has occurred.

Historical data shows that when growth in disposable income meets strong consumer confidence, this always results in significant consumption growth. It is possible that retail sales have reached a natural limit: consumers are shifting towards higher-quality purchases rather than greater quantity, and the emphasis is shifting from buying goods to purchasing experiences. The latter trend would be indicated by sustained higher growth in the service sector compared to retail sales. Overall, we expect retail growth of around 5% this year, which leads us to conclude that consumption will remain the main driver of the Hungarian economy in 2026 as well.

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Article | 6 August 2026

FX

G10 FX Talking: The narrow path to a weaker dollar

It's a bold call, but we think the Fed will just about have enough supporting evidence to avoid hiking and avoid crashing the bond market in September. If that's the case, some modest bullish steepening of the US yield curve can see the dollar weaken against the procyclical currencies, including the euro. USD/JPY may well have topped if the Fed avoids hiking



The path to a softer dollar hinges on the Fed staying on hold in September

Main ING G10 FX Forecasts

	EUR/USD	USD/JPY	GBP/USD
1M	1.16 →	160 ↑	1.35 →
3M	1.17 ↑	158 ↑	1.34 ↓
6M	1.18 ↑	158 ↑	1.34 ↓
12M	1.20 ↑	154 ↑	1.33 ↓

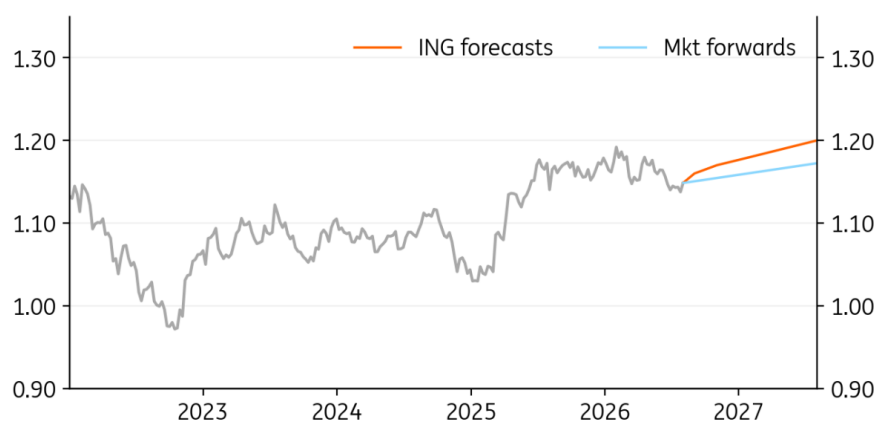
	EUR/GBP	EUR/CHF	USD/CAD
1M	0.86 →	0.94 ↑	1.40 →

3M	0.87	↑	0.94	↑	1.38	↓
6M	0.88	↑	0.92	→	1.37	↓
12M	0.90	↑	0.92	↑	1.36	↓

EUR/USD: It's a close call, but we see no Fed hikes and \$ weakness

	Spot	One month bias	1M	3M	6M	12M
EUR/USD	1.1540	Mildly Bullish 	1.16	1.17	1.18	1.20

- It is a very close call, but we think the Fed will try to get away with not hiking this year. That call will need to see some softer US CPI reads coming in for July and August ahead of the FOMC on 16 September. The call also requires the market pricing around a 30% chance of a Fed hike or less on decision day. Otherwise the Fed will be wary of losing control of long-dated Treasury yields.
- The ECB should hike to 2.50% in September. Any further hike beyond that is unnecessary and the ECB will cut back to 2.25% next summer. Drought conditions in Europe are weighing on activity.
- If we're right on the Fed, the dollar should be due a benign decline into year-end in what should be a risk-positive climate.

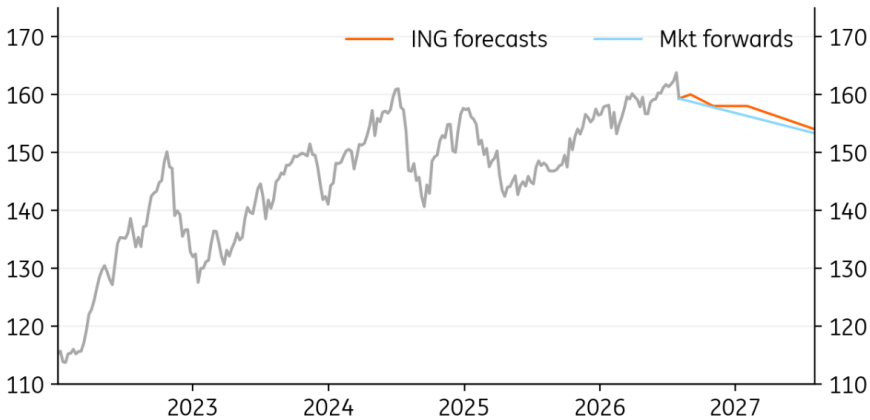


Source: Refinitiv, ING Forecasts

USD/JPY: The first joint intervention to buy yen since 1998

	Spot	One month bias	1M	3M	6M	12M
USD/JPY	157.84	Bullish 	160.00	158.00	158.00	154.00

- Early August saw the US Treasury jointly intervene with Japan to buy yen for the first time since 1998. US participation was likely driven by an effort to control the JGB sell-off, but also to discourage any competitive devaluations (read China) across Asian FX. There is a suggestion of a quid-pro-quo for US participation here that the BoJ will hike earlier in September.
- Will it be effective? Faster BoJ tightening would help, but no change from the Fed is a pre-requisite to take upside pressure off the dollar. We see a 155-160 range before mid-September.
- We’re on the lookout for new policy initiatives in Japan. JGBs being included in new ISA retail products would be big news.

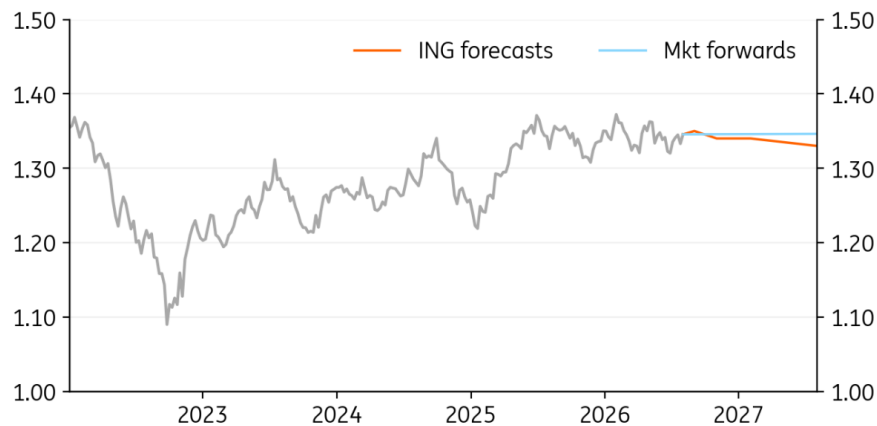


Source: Refinitiv, ING Forecasts

GBP/USD: BoE doves getting a little more dovish

	Spot	One month bias	1M	3M	6M	12M
GBP/USD	1.3463	Neutral	1.35	1.34	1.34	1.33

- GBP/USD continues to trade in the middle of a 1.32-1.36 range, and it is hard to see a breakout happening anytime soon. Kevin Warsh's dovish July FOMC press conference took the sting out of the dollar's rally, but equally on the UK side, the BoE meeting was slightly dovish. Even though 6-3 voted for a hold, the key doves sounded more convinced that there was no need for a hike. At some stage 45bp of expected BoE tightening gets removed.
- Our call is that UK inflation tops out below 3.5% YoY and drops into year-end, dragging UK rates and GBP lower.
- The first Andy Burnham budget on 28 October presents an important event risk, where tax rises could be on the agenda.



Source: Refinitiv, ING Forecasts

EUR/JPY: US Treasury sells EUR/JPY

	Spot	One month bias	1M	3M	6M	12M
EUR/JPY	182.1800	Bullish 	186.00	187.00	186.00	185.00

- EUR/JPY has played a big part in recent joint FX intervention since the US Treasury chose to intervene in EUR/JPY, not USD/JPY. We presume it chose to do so because of messaging, where the action was buying yen and not selling dollars – which might have been tough to explain to the US public.
- Yet the US reserves of the euro are finite – just a total of \$26bn split equally between the US Treasury's ESF and the Fed's SOMA account. If US Treasury Secretary Scott Bessent was correct in showing reporters plans to buy \$5-10bn worth of yen, then the US might just have sold a third of its euro reserves.
- We suspect EUR/JPY trades at the lower end of its 180-185 range now, but do not see the case for much lower levels.

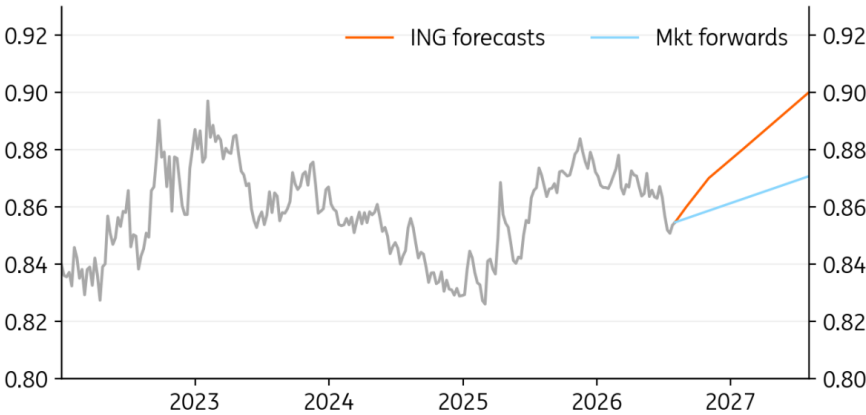


Source: Refinitiv, ING Forecasts

EUR/GBP: Important reversal

	Spot	One month bias	1M	3M	6M	12M
EUR/GBP	0.8572	Neutral	0.86	0.87	0.88	0.90

- EUR/GBP has steadily reversed from July’s low of 0.8455. We discussed what was driving the move and why we think sterling gains do not last in this [article](#).
- Policy differentials are a key driver here, where BoE tightening expectations should evaporate into year-end. In addition to slowing inflation driving the BoE view, so will UK GDP. This typically slows in the second half – potentially a problem with faulty seasonal adjustments.
- And unlike the fiscal stimulus coming through in continental Europe, UK fiscal policy will tighten in 2027 as frozen income tax brackets snare more earners. A slightly weaker pound is favoured.

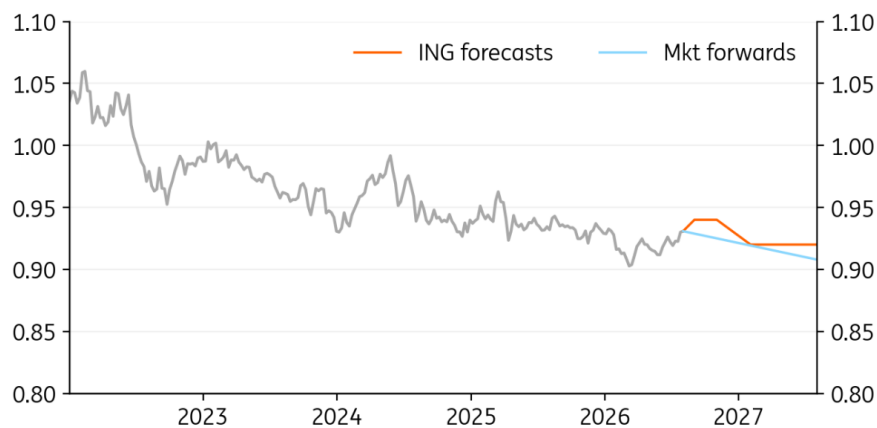


Source: Refinitiv, ING Forecasts

EUR/CHF: Higher rate environment has been key driver

	Spot	One month bias	1M	3M	6M	12M
EUR/CHF	0.9331	Mildly Bullish 	0.94	0.94	0.92	0.92

- EUR/CHF has been grinding higher, and a big driver has been higher global interest rates – where US rates have dominated since June. The assumption here, helped recently by SNB sourced comments to *Bloomberg*, is that the Swiss policy rate of 0.00% will stay there until late 2027. Higher interest rates globally mean wider differentials against Switzerland and a weaker Swiss franc.
- Given that we think the Fed will not hike and the ECB's September hike will be reversed next summer, we think the EUR/CHF upside should be relatively limited – perhaps just to the 0.94 area.
- A more sustainable recovery requires solid eurozone growth and a larger ECB tightening cycle, which looks unlikely.

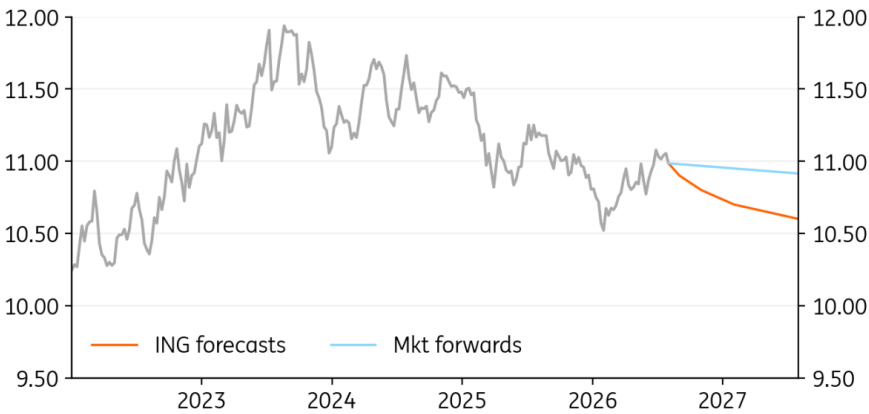


Source: Refinitiv, ING Forecasts

EUR/SEK: Unchanged profile

	Spot	One month bias	1M	3M	6M	12M
EUR/SEK	10.9400	Neutral	10.90	10.80	10.70	10.60

- We are keeping our EUR/SEK profile unchanged, still targeting 10.80 by year-end. Our call for lower front-end USD rates and easing oil prices should favour SEK over EUR. And any renewed Treasury market volatility, such as after July’s FOMC, or a broader loss of confidence in US assets should add to the downside risks as asset repatriation to Sweden picks up.
- We see limited scope for a steeper EUR/SEK decline, however, as market pricing of 30bp for Riksbank tightening by year-end looks overly hawkish. Inflation should stay subdued even after adjusting for temporary tax cuts, and inflation expectations remain firmly anchored around 2.0%. We do not expect any rate hikes this year.
- September’s Swedish election shouldn’t have a material FX impact. The centre-left opposition remains ahead in the polls.

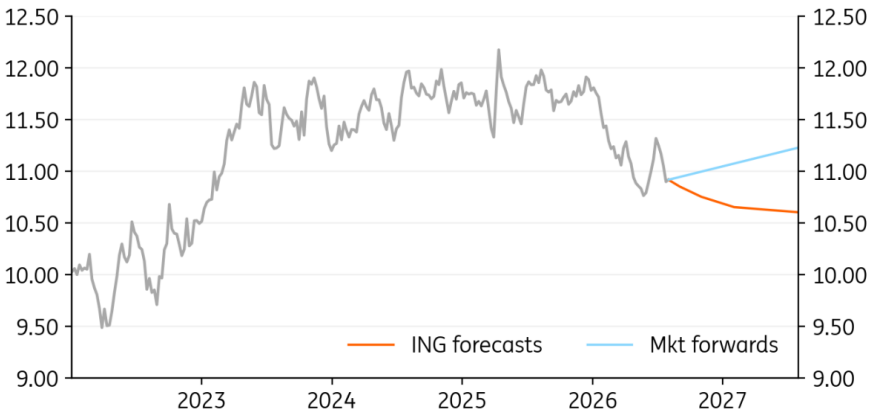


Source: Refinitiv, ING Forecasts

EUR/NOK: Carry can offset lower oil prices

	Spot	One month bias	1M	3M	6M	12M
EUR/NOK	11.0100	Bearish 	10.85	10.75	10.65	10.60

- Oil’s rollercoaster is still making the near-term outlook for NOK quite uncertain. While our baseline remains for Brent to gradually decline to the low \$70s by year-end, the rates backdrop should offset the negative impact on NOK.
- We continue to expect one more 25bp Norges Bank hike this year. September remains our preferred timing, though August is a close call and markets may be underpricing the risk of a surprise move.
- A calmer global rates environment should support carry trades during the latter part of 2026, and Norges Bank is unlikely to declare the tightening cycle over before CPI shows clearer signs of easing. Against this backdrop, we are revising our EUR/NOK profile modestly lower, now targeting 10.70 by the end of the year.

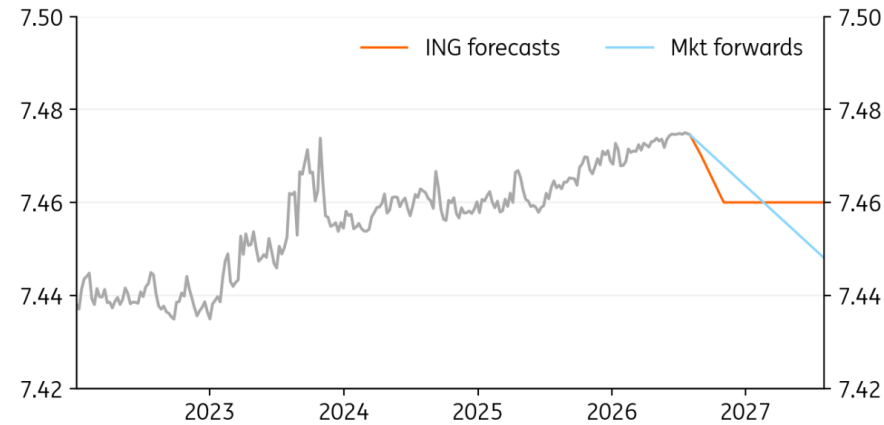


Source: Refinitiv, ING Forecasts

EUR/DKK: Larger September hike a possibility

	Spot	One month bias	1M	3M	6M	12M
EUR/DKK	7.4755	Neutral	7.47	7.46	7.46	7.46

- The Danish central bank’s DKK0.7bn FX sale in June was not followed by any intervention in July, even as EUR/DKK remained on the strong side and touched an intraday high of 7.4768 on 17 July.
- That suggests policymakers are either becoming more comfortable with the current, still-mild DKK weakness or are reserving action for a larger rate hike in September, when the ECB is expected to deliver a 25bp increase.
- The latter would be more aligned with pursuing a more durable solution to the medium-term upward drift in EUR/DKK. Otherwise, the central bank still has ample scope to intervene (FX reserves have climbed to \$110bn). We still expect EUR/DKK to return to 7.460, though likely only in late 2026 or early 2027.

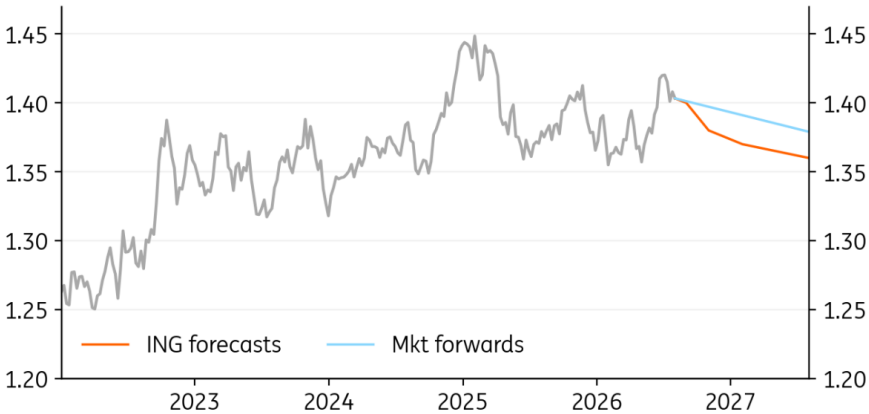


Source: Refinitiv, ING Forecasts

USD/CAD: Loonie lagging in dovish Fed repricing

	Spot	One month bias	1M	3M	6M	12M
USD/CAD	1.4011	Neutral	1.40	1.38	1.37	1.36

- A resilient jobs market has helped the CAD curve to keep borrowing hawkish expectations from the Fed. Markets are pricing in 15bp of Bank of Canada tightening by year-end. But Canada’s inflation outlook remains quite muted and we continue to forecast no rate increases before mid-2027.
- Measures of core inflation undershot consensus and the 2.0% target in June. Despite the return of elevated energy prices in July, the risk of second-round effects remain broadly limited. We currently expect headline inflation to peak at 2.7% in 4Q.
- We expect a dovish repricing of Fed rate expectations in the coming months: an environment that has historically disfavoured CAD relative to its G10 peers. Even so, broader USD weakness can still drive USD/CAD down to 1.38 by year-end. USMCA headlines remain a dormant tail risk for CAD.

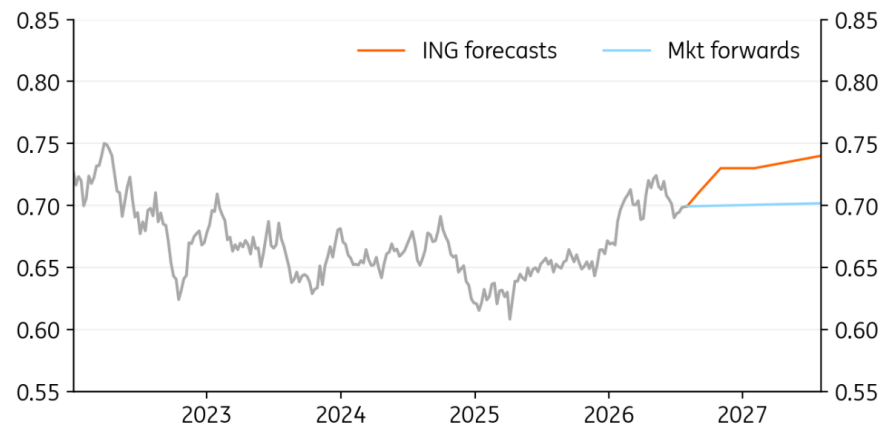


Source: Refinitiv, ING Forecasts

AUD/USD: End of RBA cycle not a big headwind

	Spot	One month bias	1M	3M	6M	12M
AUD/USD	0.7040	Mildly Bullish 	0.71	0.73	0.73	0.74

- The CPI slowdown in June has [reinforced our view](#) that the Reserve Bank of Australia is heading into a prolonged pause. Nevertheless, with markets pricing only 12bp of tightening by year-end, the risk of negative front-end spillovers into AUD are more contained than for USD or NZD.
- Governor Michele Bullock’s latest comments also suggest a reluctance to close the door on further hikes too soon.
- AUD also stands apart from some other commodity currencies thanks to stronger underlying fundamentals. Softer energy prices are a headwind, but Australia’s terms of trade are likely to remain well above pre-war levels even in a further de-escalation scenario, while carry remains particularly attractive on a volatility-adjusted basis. We expect AUD to be one of the stronger performers in the final months of the year.

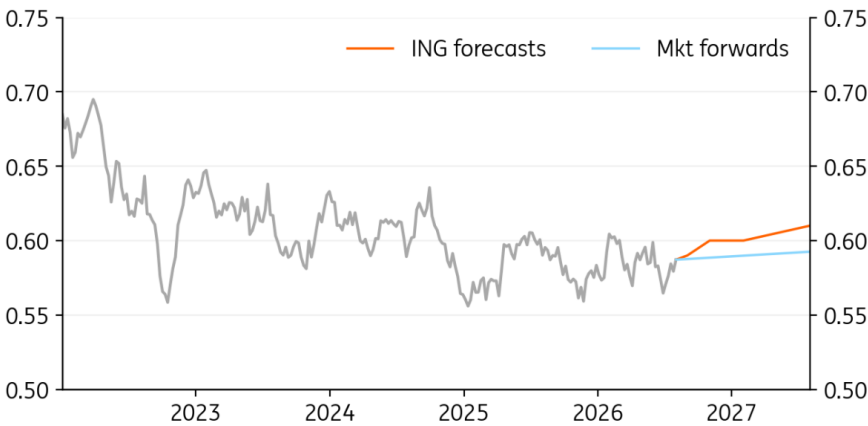


Source: Refinitiv, ING Forecasts

NZD/USD: RBNZ pricing looks too hawkish

	Spot	One month bias	1M	3M	6M	12M
NZD/USD	0.5877	Neutral	0.59	0.60	0.60	0.61

- The Kiwi dollar has performed strongly of late, benefitting from the improved external environment and lingering hawkish expectations on the Reserve Bank of New Zealand.
- We expect the RBNZ to hike one last time this year in September to 2.50%, but a market currently expecting 3.25% by March 2027 may be disappointed by any lack of strong commitment to further hikes. We suspect two of the six RBNZ members were not fully aligned with the June hike, and the surprise rise in unemployment in 2Q (driven by a jump in participation rate) offers an argument to ease the hawkish tone in September.
- We expect NZD/USD to be lifted in the coming months by lower front-end USD rates, but our dovish call on the RBNZ means gains could be capped around 0.600-0.605.



Source: Refinitiv, ING Forecasts

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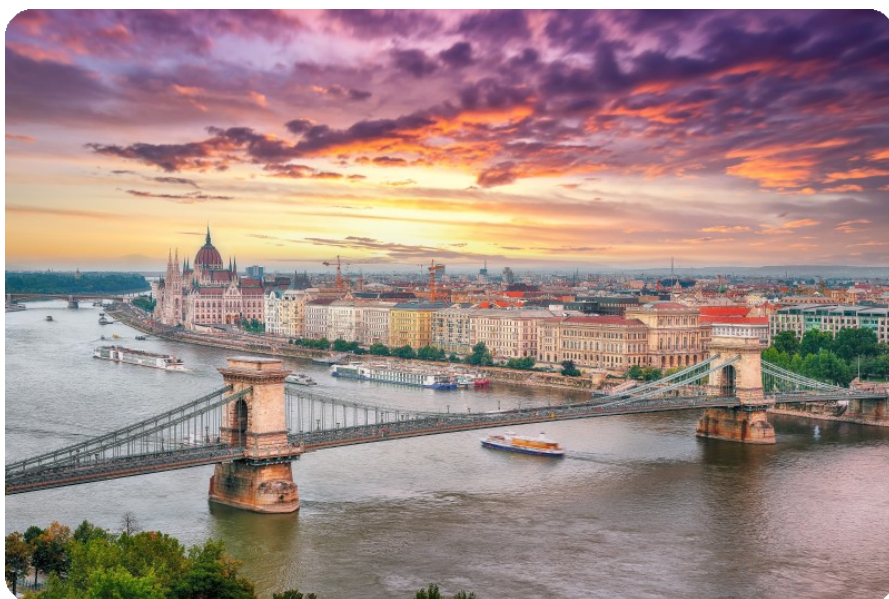
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Article | 6 August 2026

FX CZECH REPUBLIC HUNGARY

EMEA FX Talking: Locked onto Hungary's euro story

CEE currencies have been reasonably stable, but we see enduring appreciation for Hungary's euro story. Here, the government presents its medium-term fiscal plan in October, with presumably plenty of references to the Maastricht criteria. This should send EUR/HUF back to 350. And a weaker dollar and lower energy prices will be good for the region's FX



We see the relative weakness of the Hungarian forint as temporary

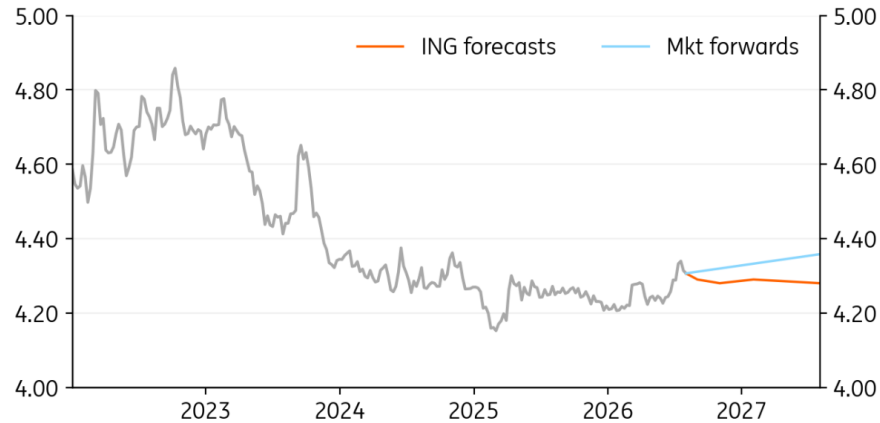
Main ING EMEA FX Forecasts

	EUR/CZK		EUR/PLN		EUR/HUF	
1M	24.20	↓	4.29	↓	360	↓
3M	24.15	↓	4.28	↓	355	↓
6M	24.10	↓	4.29	↓	347	↓
12M	24.05	↓	4.28	↓	362	↓

EUR/PLN: Zloty is back on the strengthening path

	Spot	One month bias	1M	3M	6M	12M
EUR/PLN	4.2991	Neutral	4.29	4.28	4.29	4.28

- As financial markets again turned more optimistic about the Middle East situation, the EUR/PLN dropped towards the 4.30 level. Zloty strengthened because several MPC members also distanced themselves from the NBP governor’s latest comments about possible interest rate cuts after the summer.
- We still see the Polish currency as largely vulnerable to global market sentiment. Stabilisation of the US–Iran conflict should create a positive environment for a slightly stronger zloty. However, the publication of the draft state budget for next year could temporarily limit the appreciation potential of PLN.
- Our mid-term view on the zloty remains unchanged. Expect a limited rise of the EUR/USD in 2H26, GDP outperformance among regional peers and large inflows of EU funds justify a slightly lower level of the EUR/PLN exchange rate.

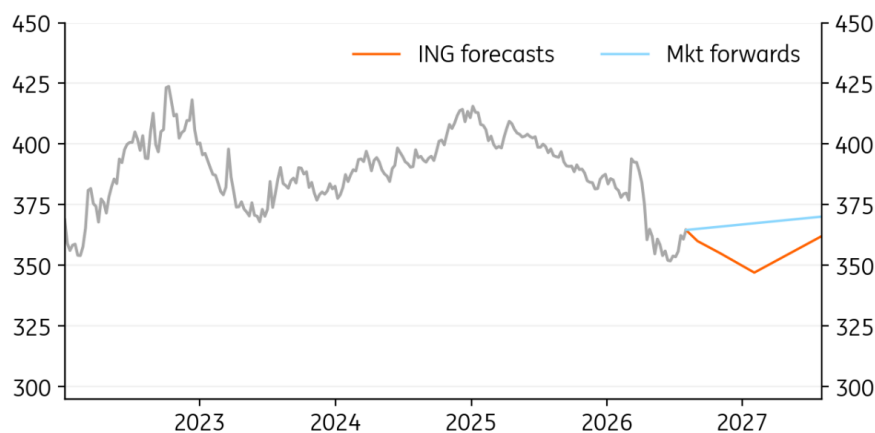


Source: Refinitiv, ING Forecasts

EUR/HUF: We see the relative weakness of the HUF as temporary

	Spot	One month bias	1M	3M	6M	12M
EUR/HUF	363.0700	Mildly Bearish ↘	360.00	355.00	347.00	362.00

- EUR/HUF is hovering around the top end of its post-election range. As well as the usual 'soft summer' phenomenon, the energy crisis is also a factor. However, we think that, if necessary, the NBH will intervene again by providing its FX reserves to cover transactions relating to energy imports.
- Looking beyond the geopolitical rollercoaster, inflationary developments could pave the way for further monetary policy easing in autumn. A year-end base rate of 4.75–5.00% would still provide a substantial real interest rate, with price pressure below 3%, limiting the sell-side pressure on the forint.
- The government will submit a medium-term fiscal framework at the end of October, which outlines its path towards meeting the criteria for adopting the euro. We believe this will provide significant support for the forint over a six-month horizon.

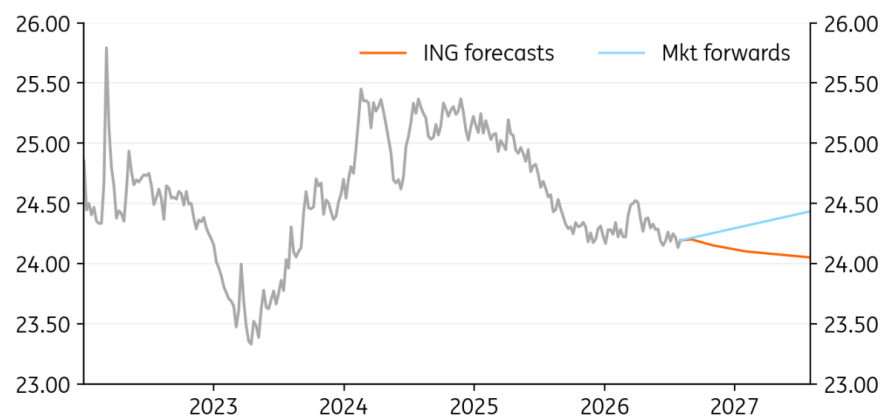


Source: Refinitiv, ING Forecasts

EUR/CZK: Koruna weathers the storm

	Spot	One month bias	1M	3M	6M	12M
EUR/CZK	24.1800	Neutral	24.20	24.15	24.10	24.05

- The koruna has proven its stability amid global turmoil, and we believe this will be the case even in the upcoming months, seeing a broadly stable EUR/CZK rate in the near-term.
- The continued Hormuz conflict is set to take its toll on economic performance, yet the Czech industry will somewhat benefit from the continued diversification of its client base on a global scale.
- With the relatively sound Czech fiscal stance, and positive interest rate differential over the euro in both nominal and real terms, the koruna should weather the current uncertainty and resume its strengthening trend once conditions improve.

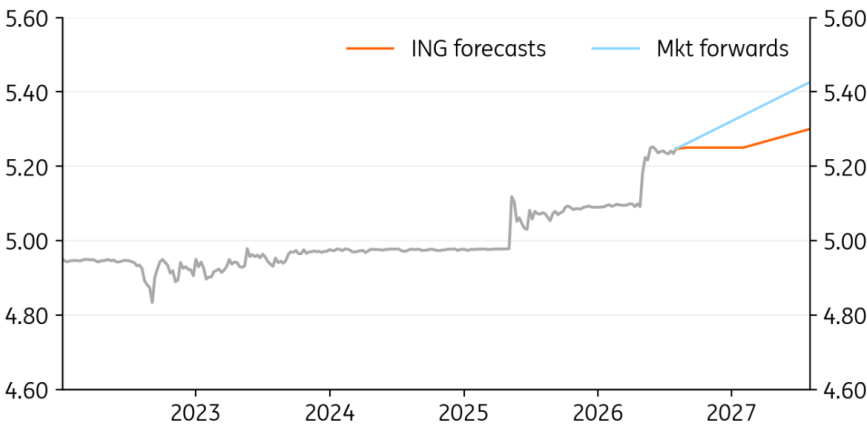


Source: Refinitiv, ING Forecasts

EUR/RON: FX stability is unlikely to go away soon

	Spot	One month bias	1M	3M	6M	12M
EUR/RON	5.2483	Neutral	5.25	5.25	5.25	5.30

- EUR/RON has been trading mostly sideways in the last month, with the pair continuing to remain in the 5.24-5.26 range. While the uncertain political situation, some rating fears and upside inflationary risks remain in the picture, the improvements on the fiscal front are noticeable.
- The budget deficit stood at 2.0% in the first half of 2026 (3.65% in 1H25), adding to the prospects of a better-than-target result in 2026 too.
- We expect the liquidity surplus to carry on due to large EU funds inflows, but at rather balanced levels that would facilitate less aggressive interventions in the case of large outflows. Reform continuity and a successful final push on the last RRF absorption mile remain key. We expect the pair to remain within its current range and close the year near 5.25.

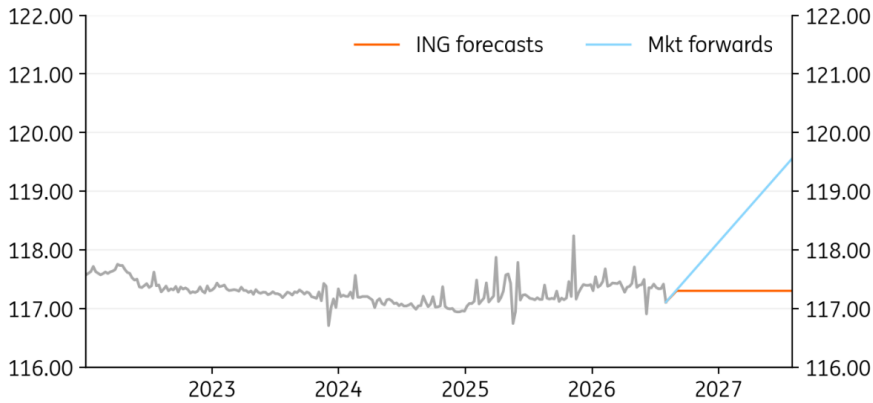


Source: Refinitiv, ING Forecasts

EUR/RSD: RSD likely to remain stable on a firm NBS grip

	Spot	One month bias	1M	3M	6M	12M
EUR/RSD	117.3600	Neutral	117.30	117.30	117.30	117.30

- EUR/RSD moves have remained rather contained. The pair have sat mostly between the 117.30 – 117.50 range. The sale of the NIS refinery to MOL Group is still in advanced stages, with parties aiming to close the deal this summer. US sanctions waivers have been renewed until 28 August.
- In the background, the positive fundamentals backed by strong investments are still in the picture, even though record-low Danube levels add some headwinds now.
- At its July meeting, the National Bank of Serbia kept the key rate in place at 5.75%, despite a less cloudy inflation outlook, as global uncertainties continued to rank high on policymaker’s radars. We believe the central bank will continue to keep a firm grip on the currency (through June 2026, the Bank sold €755m to keep the pair stable).

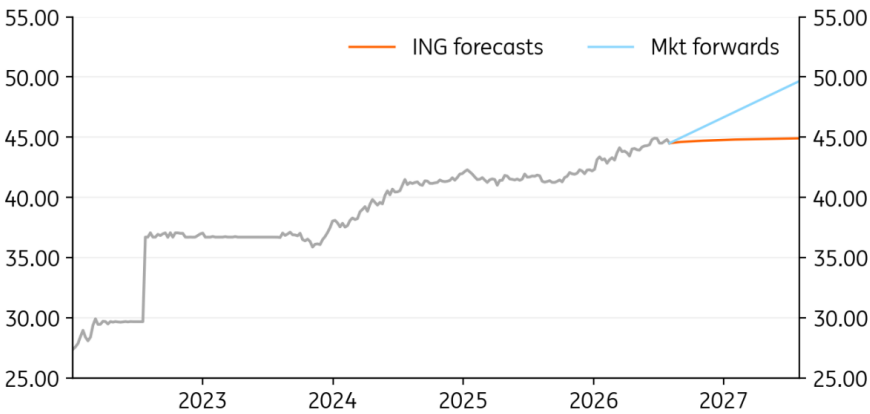


Source: Refinitiv, ING Forecasts

USD/UAH: NBU efforts to help the hryvnia

	Spot	One month bias	1M	3M	6M	12M
USD/UAH	44.8100	Neutral	44.78	44.70	44.80	44.90

- As the US dollar strengthened globally on the back of the re-escalation of the Middle East conflict in July, the USD/UAH exchange rate stabilised, albeit at an elevated level.
- The stabilisation resulted from increased volumes of the National Bank of Ukraine’s FX intervention and a surprising interest rate hike of 50bp to 15.5% in late July. The central bank acted in response to rising core inflation and a more challenging inflation outlook for rest of the year.
- Nevertheless, the outlook for the hryvnia remains cloudy as the macroeconomic environment remains challenging due to the ongoing war. Even so, the NBU has upgraded its 2026 GDP growth forecasts due to the expanded fiscal stimulus.

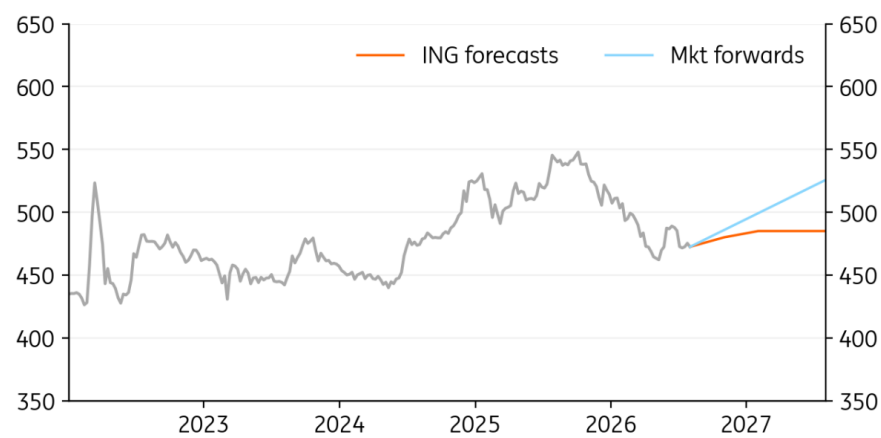


Source: Refinitiv, ING Forecasts

USD/KZT: Resilience tested by oil flow disruptions

	Spot	One month bias	1M	3M	6M	12M
USD/KZT	468.1000	Bullish 	475.00	480.00	485.00	485.00

- The tenge has stabilised in the last four weeks since the June rally. News headlines may suggest that the recent spike in the oil prices seems to have been offset by disruptions in the oil exports flows through the Caspian Sea.
- We find financial flows to be more important now, as the continued foreign portfolio inflows amid [high real rates](#) are counterbalanced by reduced FX sales by the government, reflected in the growing NBK backlog since June.
- The decline in total state-driven FX sales to the multi-month low of \$0.8bn in July is in line with the [trend](#) we identified previously. This should limit the scope for KZT appreciation in the longer run.

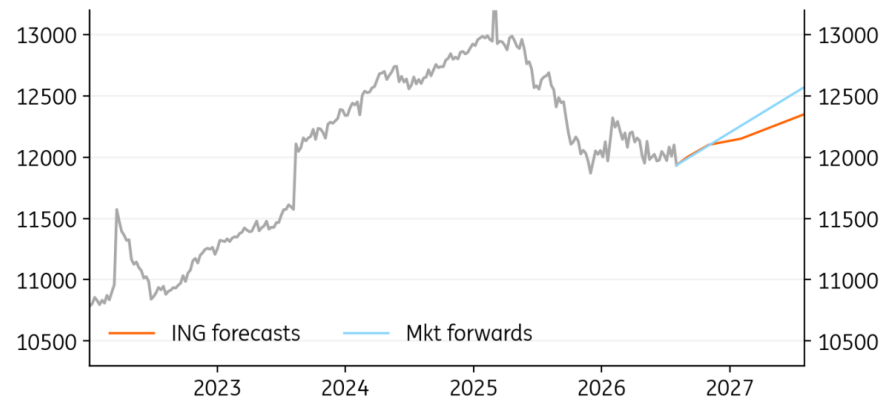


Source: Refinitiv, ING Forecasts

USD/UZS: Rangebound amid renewed pause in gold exports

	Spot	One month bias	1M	3M	6M	12M
USD/UZS	11,912.0000	Mildly Bullish 	12000.00	12100.00	12150.00	12350.00

- The Uzbekistani som has continued to fluctuate around 12,000 per USD, in line with expectations. This seems to coincide with a stabilisation in gold prices, but we doubt that it is the key driver.
- With gold exports back on hold after a brief restart in April, the financial impact of gold prices on the FX market should be limited.
- Despite the widening in the trade deficit to a historical high of \$25bn in the 12 months ending in mid-2026, we remain constructive on USZ given the expected eventual restart of gold exports and continued portfolio inflows amid attractive [real rates](#).

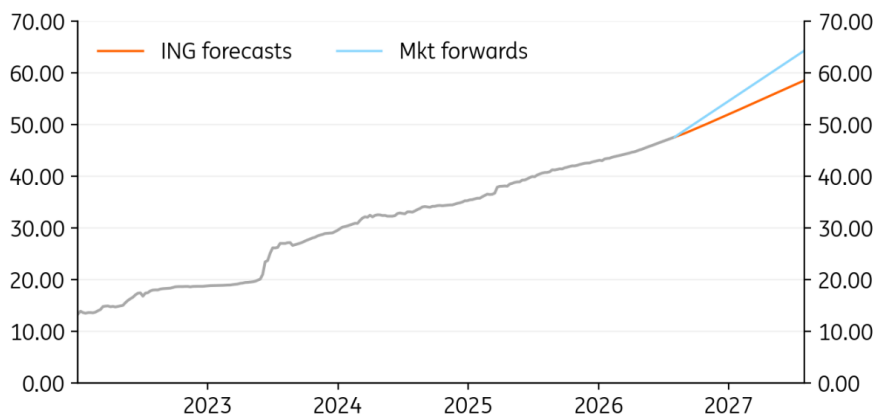


Source: Refinitiv, ING Forecasts

USD/TRY: CBT's liquidity easing remains in focus

	Spot	One month bias	1M	3M	6M	12M
USD/TRY	47.5900	Bullish 	48.30	50.10	52.90	58.50

- July CPI data supported the decline in annual inflation, although pricing pressures remain widespread. Geopolitics, administered, and food prices pushed seasonally adjusted monthly inflation higher. Oil prices, with potential spillovers to other commodities, pose risks to the inflation outlook.
- The CBT's net FX position improved in June and July, driven by \$14.8bn of FX purchases in June and a further \$9.0bn in July. Reserve accumulation is expected to continue, aided by gradual capital inflows and the seasonal current account improvement.
- The CBT's Inflation Report on 13 August may provide further guidance on the timing of any easing in liquidity conditions. This would reduce the effective funding rate from 40% to 37%. Our baseline expects a policy rate move toward 35% in 4Q.

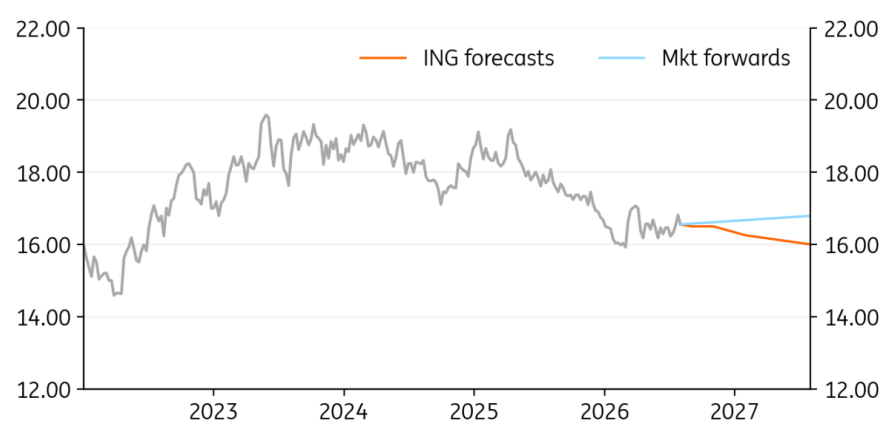


Source: Refinitiv, ING Forecasts

USD/ZAR: Not quite as attractive

	Spot	One month bias	1M	3M	6M	12M
USD/ZAR	16.3400	Bullish ↗	16.50	16.50	16.25	16.00

- Investors do not find the rand as attractive as they once did. Last year was about the huge flows into the local bond market as the SARB switched to a 3% inflation target. But last month, the SARB disappointed the bond market which had been expecting a hike. Admittedly the policy rate is already at 7.00%, but the SARB acknowledges upside risks to inflation and could face further inflation on a bad El Nino later this year.
- At the same time, the SARB cites a ‘dysfunctional’ municipal sector for constraints on overall growth, with seemingly little improvement expected. It sees downside risks to growth.
- The rand can outperform the forwards, but not much more.

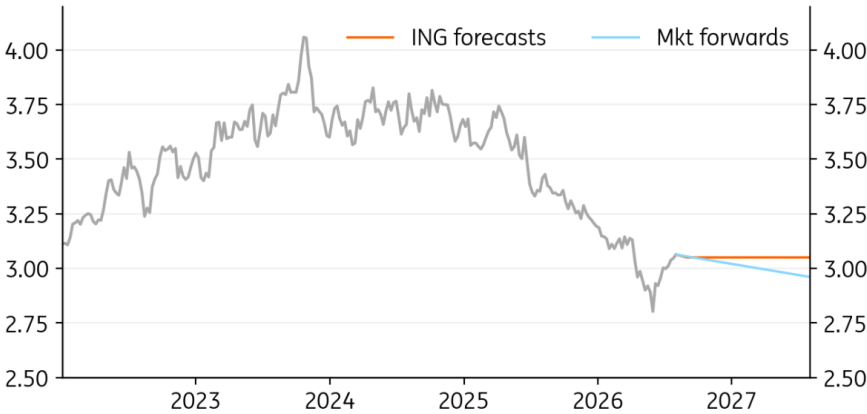


Source: Refinitiv, ING Forecasts

USD/ILS: Bank of Israel holding USD/ILS above 3.00

	Spot	One month bias	1M	3M	6M	12M
USD/ILS	3.0137	Bullish ↗	3.05	3.05	3.05	3.05

- Having cut rates twice this year and intervened to sell the shekel in May and June, the Bank of Israel is managing to keep the USD/ILS above 3.00. With inflation contained in the middle of the Bol's 1-3% target range, the expectation is for more Bol easing. In fact, it looks like the markets could be pricing a 50bp rate cut for the 1 September meeting.
- Our position this year has been that the Bol would fight the strong shekel and we would expect further FX buying should USD/ILS start heading sub-3.00 again.
- Domestically, Israel had a soft first quarter for growth but should rebound. October elections could add some volatility here.



Source: Refinitiv, ING Forecasts

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Article | 6 August 2026

FX ARGENTINA BRAZIL

Latam FX Talking: Moving into orbit of Brazil's elections

Latin currencies have been relatively stable and have continued to outperform their steep forward curves. Brazil's high carry remains attractive, but investors will have to be attentive to political news in the run-up to the presidential elections in early October. Elsewhere, both the Mexican peso and Chile's peso look quite stable



Election uncertainty in Brazil is creeping higher, yet the real remains one of Latam's best performers.
Pictured: Brazilian President Lula

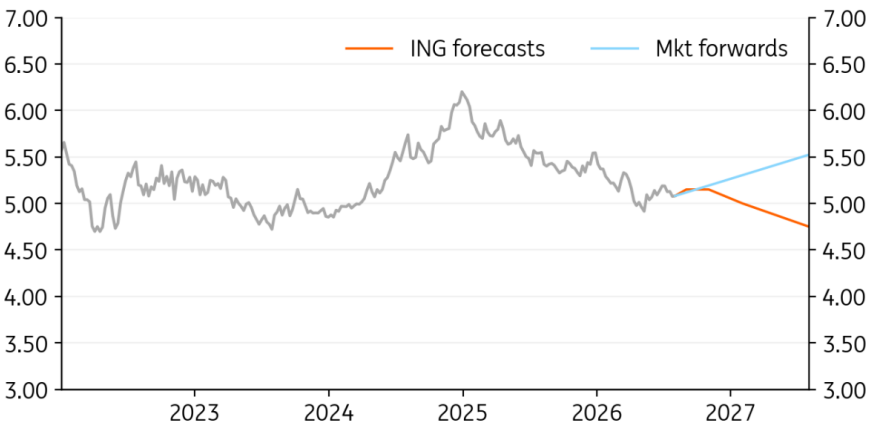
Main ING Latam FX Forecasts

	USD/BRL		USD/MXN		USD/CLP	
1M	5.15	↓	17.25	↓	900	↓
3M	5.15	↓	17.25	↓	900	↓
6M	5.00	↓	17.25	↓	900	↓
12M	4.75	↓	17.25	↓	900	↓

USD/BRL: Gearing up for the October election

	Spot	One month bias	1M	3M	6M	12M
	5.1224	Mildly Bullish 	5.15	5.15	5.00	4.75

- Away from the major outperformers of the Korean won and Colombian peso, Brazil’s real has delivered the strongest total return against the dollar this quarter. 13% implied yields remain attractive, and we doubt BACEN 25bp rate cuts in August and September will dent the BRL’s appeal.
- Increasing focus is being given to the first round of the presidential election on 4 October. President Lula is marginally ahead in the polls, but Flavio Bolsonaro is closing the gap. Neither candidate wants to discuss austerity despite Brazil’s large deficits.
- Based on ING’s view of no Fed hikes and a benign \$ decline into year-end, the BRL should remain bid and outperform the forward.

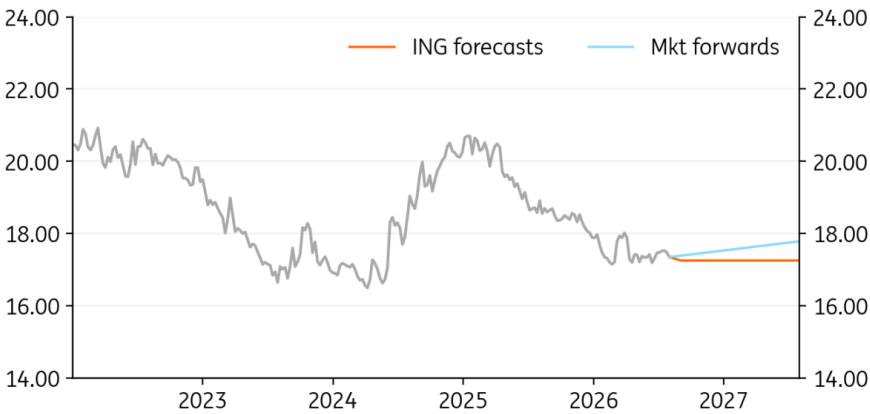


Source: Refinitiv, ING Forecasts

USD/MXN: Implied volatility can drop

	Spot	One month bias	1M	3M	6M	12M
	17.2600	Neutral	17.25	17.25	17.25	17.25

- USD/MXN implied volatility trades structurally higher than realised volatility but may well come down. 17.10 to 17.70 looks a well-worn trading range, which has shown the peso being quite resilient to dollar strength earlier this summer. Interestingly, even as the market prices 40-50bp of Fed hikes, very little change is expected in the 6.50% Banxico policy rate.
- If we're right with no Fed hikes, USD/MXN will test the bottom of the range. However, Banxico doesn't like USD/MXN sub-17.00.
- Any trouble with USMCA renegotiation or a Fed hike could see USD/MXN press the upside again, but 6.75% yields provide a cushion.



Source: Refinitiv, ING Forecasts

USD/CLP: Copper looking like it wants to go higher

Spot	One month bias	1M	3M	6M	12M
913.8800	Bearish 	900.00	900.00	900.00	900.00

- Kevin Warsh’s less hawkish Fed press conference in July has given Chile’s peso a reprieve. The top of the USD/CLP range at 950 held and it could make a run at 900 if copper can break above \$14,000/MT. Here, all eyes are on Washington and whether the Commerce Department broadens copper tariffs to include more of the raw material. That could prove a double-edged sword for the peso, depending on whether Chile’s exports are exempted.
- Away from copper, Chile’s growth is not particularly dynamic and implied yields are relatively low within Latam at 3.5%.
- It looks like the central bank would still like to cut rates, but the markets expect flat rates for six months and then a hike.



Source: Refinitiv, ING Forecasts

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